COLLYER Consulting



Frequently Asked Questions under UCP 600

STANDARD CHARTERED BANK * DHAKA * BANGLADESH

Volume I
September 2007

Introduction

Welcome to this first volume of "Frequently Asked Questions under UCP 600" provided by Collyer Consulting LLP. In what is the first of a half yearly publication, we will look at the types of questions that are being asked on a global basis and offer extensive responses to those questions. This volume includes at least 3 questions (and suggested answers) for all 39 articles of UCP 600. Additionally, there are some questions that fall under the category of "General". All in all, there are some 220 questions on a wide variety of topics and issues.

Most of the questions in this volume were submitted by participants, in writing, during seminars conducted by Gary Collyer during the period January to June 2007. The remainder were sent to him by email leading up to and following the implementation of UCP 600 on July 1, 2007. Over time, we hope that you will agree that these volumes will build into an invaluable guide for you the documentary credit practitioner, highlighting the questions that are being asked globally and their possible resolvement. You will note that for each section of questions the numbering commences with the respective article number (or Gen) followed by the question number within each article or the general section. In subsequent volumes we will add questions and the numbering will increase under each section accordingly. We will also provide, from volume II onwards, an index of the query numbers, a brief description of its content and the volume number in which it appears, so that you may easily identify whether a particular issue has already been covered.

Questions are welcomed from all readers and you may find your question, and the answer, in future volumes. Of course, names and organisations will be kept confidential and you will receive the response first!

We hope that you will find this volume to be more than a useful aid in your day-to-day activities.

Gary Collyer
Collyer Consulting LLP
September 2007

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Article 1 – Application of UCP

1.1 After July 1, 2007 are all letters of credit automatically subject to UCP 600?

Suggested answer:
A credit is subject to UCP 600 when its text expressly indicates that it is subject to the rules. For a SWIFT issued credit, this is evidenced by completion of field 40E with one of "UCP LATEST VERSION", "EUCP LATEST VERSION", "UCP URR LATEST VERSION" or "EUCP URR LATEST VERSION". If a credit is to be issued subject to another set of rules, field 40E must be completed with "ISP LATEST VERSION" (for a standby letter of credit subject to ISP) or "OTHR" if subject to another set of rules (such as UCP 500), convention or law.

1.2 Are domestic letters of credit covered under the UCP rules or not?

Suggested answer:
Yes. No distinction is drawn in the UCP between credits that can be classified as domestic as opposed to cross border.

1.3 If we wish to open a standby letter of credit subject to UCP 600 (not ISP98), do we need to mention any additional condition(s)?

Suggested answer:
It should be remembered that the UCP is not specifically designed for the handling of standby letters of credit. This is the primary reason that the ISP98 were developed. When issuing a standby letter of credit subject to UCP 600 an issuing bank, recognising good practice, should list the articles that do not apply to that standby i.e., ".... subject to UCP 600 excluding articles .....". As a minimum these would include articles 18-28 (i.e., the articles covering commercial invoices, transport documents and insurance documents). Such action would not necessarily be needed if the standby were issued subject to ISP98.

1.4 Is it correct to state that a non-bank can issue a letter of credit but it cannot confirm or negotiate it?

Suggested answer:
In October 2002, the ICC issued its opinion (reference R.505) indicating that any party could issue a credit subject to UCP 500. The content of that opinion equally applies under UCP 600. There is no reason why a non-bank could not add confirmation to a credit or negotiate under same. The decision as to whether or not this was acceptable would be for the beneficiary to determine. In the case of non-bank issued credits it is common that where confirmation is to be added it is completed by a bank and that a bank will provide the negotiation service.

1.5 We issued a letter of credit, by SWIFT, before July 1, 2007 stating that it is subject to "UCP LATEST VERSION". When we receive documents under this credit, after July 1, which version of UCP will the credit be subject - UCP 500 or UCP 600?

Suggested answer:
The applicable rules remain those under which the credit was issued. The only circumstances where documents presented under a UCP 500 credit would be reviewed under UCP 600, is if the credit had subsequently been amended to state that the applicable rules were now UCP 600. This course of action is not recommended due to the differences in structure and language between the two sets of rules. Obviously, any such amendment would be subject to the agreement of the issuing bank, confirming bank (if any) and the beneficiary.

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Article 2 - Definitions

2.1 Please explain, under the definition of negotiation, "on or before the banking day on which reimbursement is due to the nominated bank".

Suggested answer:
The basic premise of negotiation is that a nominated bank advances their own funds to the beneficiary. If a nominated bank effects settlement to the beneficiary utilising funds that have already been received from an issuing bank or reimbursing bank they are not negotiating, they are honouring. Therefore, the wording in the definition of negotiation reflects that the act of advancing or agreeing to advance funds is fulfilled by the nominated bank on or prior to receipt of reimbursement from the issuing bank. For example, the due date of a draft is August 20 and the nominated bank is based in Hong Kong. The currency is USD and the issuing bank will remit funds to the negotiating bank's account in New York on the due date. The nominated bank has negotiated and agreed to advance funds to the beneficiary on August 20. The advance will be made without the bank in Hong Kong being aware as to whether or not covering funds have been remitted by the issuing bank.

2.2 Why is the applicant not a concerned party involved in the letter of credit?

Suggested answer:
A credit is a bank undertaking (as shown in the definition of 'Credit'). To allow an applicant to take an active role in the decision process (to determine compliance and pay or to determine non-compliance and refuse) would be to undermine the whole principle of credit operations in that it is an issuing bank that determines whether or not the documents comply and an issuing bank is ultimately responsible for settlement to the beneficiary or reimbursement to a nominated bank that has acted on its nomination.

2.3 Complying presentation means "..... and international standard banking practice". We understand that reference to "international standard banking practice" is not restricted to the ISBP publication 681 but that it includes the principles therein. So, under UCP 600, in a notice of refuse can we indicate that documents are discrepant because they fail to comply with ISBP?

Suggested answer:
The enquirer is correct in their assessment of 'international standard banking practice' in that the concept goes beyond the principles contained in the ISBP publication. However, any refusal of documents may only be made on the basis of the terms and conditions of the credit and the UCP. The ISBP may be used to provide support for the rationale behind a particular reason for refusal.

2.4 As a beneficiary, how can we identify the difference between honour and negotiation by a nominated bank?

Suggested answer:
The word "honour" has been used in UCP 600 as a drafting technique so as to avoid the continual repeating of "to pay at sight if the credit is available at sight, to incur a deferred payment undertaking and pay at maturity if the credit is available by deferred payment, or to accept a draft drawn by the beneficiary and pay at maturity if the credit is available by acceptance". From a beneficiary viewpoint, you would still need to consider whether a credit is to be issued available by payment, acceptance, deferred payment or by negotiation and that such availability meets the terms of your proforma invoice or contract.

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2.5 Suppose a nominated bank purchases discrepant documents after receipt of the issuing bank's authorisation, does this constitute an effective negotiation?

Suggested answer:
Provided a nominated bank reviewed the documents at the time of presentation, sought the issuing bank's approval to the identified discrepancies, received the advice of approval of those discrepancies and negotiated, it would be considered to have negotiated within the confines of UCP 600.

2.6 Can we conclude that a letter of credit may be made available by negotiation providing that it is available with one or more banks other than the drawee in the draft?

Suggested answer:
Under the definition of negotiation, a draft (if required) is to be drawn on a bank other than the nominated bank i.e., the issuing bank or reimbursing bank. If a beneficiary chooses to present documents directly to the issuing bank, the credit will become one which is available with the issuing bank by honour.

2.7 Article 2 with regard to complying presentation; why is international standard banking practice added when complying presentation is defined? Does this mean all parties involved may make reference to ISBP or any previous opinions appearing in ICC publications when a dispute arises?

Suggested answer:
The inclusion of "international standard banking practice" in the definition of complying presentation follows the principle that was established in UCP 500 sub-article 13 (a). The UCP is not all encompassing with regard to the actions that banks take in relation to letters of credit. Acts which form the basis of international standard banking practice, including those that are not specifically indicated in the ISBP publication, are equally relevant in the determination of a complying presentation. Reference may be made to the ISBP publication 681 or ICC opinions in the event of any dispute under a credit.

2.8 The definition of issuing bank; would you please explain the difference between applicant bank and issuing bank, where we need to discount or forfait the credit to a beneficiary?

Suggested answer:
An applicant bank is generally used when that bank has outsourced the processing of credits to another bank or where a beneficiary has specifically requested a named bank to be the issuer and that bank is not the banker of the applicant. The applicant will ask their bank to request the named bank to issue the credit, usually under cover of a guarantee or other arrangement, but request the insertion of their name as applicant bank to preserve their association with the credit transaction. The applicant bank is not recognised under the UCP and it is the named issuing bank that has given the undertaking to honour. In respect of any discount or forfaiting, it is the issuing bank that is to be considered for the purposes of establishing bank risk.

Article 3 - Interpretations

3.1 A letter of credit stipulates that the goods must be shipped on or about November 15, 2007. Therefore, the beneficiary can ship during the period November 11, 2007 to November 19, 2007. Is this correct?

Suggested answer:
No. The beneficiary may ship up to five calendar days before November 15 (i.e., November 10) or five calendar days after November 15 (i.e., November 20).

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3.2 Will banks have a problem with an electronic bill of lading that is not signed or stamped?

Suggested answer:
It should be remembered that the UCP is not specifically designed to cater for electronic documents. This is why the EUCP was developed. A bill of lading presented under a UCP 600 credit, for which no allowance has been made in the credit to cater for it to be issued electronically, must comply with the requirements of UCP 600 including the interpretation of signing that is given in article 3.

3.3 Branches of a bank in different countries are considered to be separate banks. What does this mean? Can I understand that branches of a bank in the same country are considered to be the same bank?

Suggested answer:
Branches of a particular bank are able to perform different functions as envisaged by the UCP provided they are based in different countries. For example, if a bank in London issues a letter of credit, its branch in Manchester cannot confirm it as they are both in the same country and, therefore, considered to be the same bank. However, if the same bank in London issues a letter of credit and its office in Dubai were requested to add its confirmation then this is acceptable under article 3, (but not necessarily acceptable to the beneficiary) as the branches are in different countries.

Article 4 – Credits v. Contracts

4.1 What does 'underlying contract' mean?

Suggested answer:
Often, rather than provide a general description of the goods, an applicant will give a short statement in the letter of credit application form as to the type of goods being shipped and a reference to the contract (the underlying contract) or proforma invoice agreed between them and the beneficiary. They will then request the issuing bank to forward a copy of that contract or proforma invoice to the advising bank so that the documents will be reviewed not only against the terms and conditions of the credit but also the content of the contract or proforma invoice. It is this sending of the contract or proforma invoice, as an integral part of the credit that is being discouraged in this article.

4.2 A letter of credit bears a goods description and attaches contract (A). In the beneficiary's invoice it shows "[goods description] as per contract (A)". Is this sufficient?

Suggested answer:
If the credit states that contract (A) forms an integral part of the credit, the advising bank should have raised an objection under article 4. If they have not, the beneficiary should seek an amendment to remove the contract as an integral part of the credit. Otherwise, the banks will be expected to also review the documents against that contract and the beneficiary would be required to detail the goods as shown in that contract. If there is no mention of the contract or proforma forming an integral part of the credit, the goods description need only comply with that in the credit.

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4.3 How should the nominated bank act if they receive a letter of credit which has a copy of the underlying contract as an integral part of the credit?

Suggested answer:
Ideally, they should revert to the issuing bank requesting the removal of this condition and referring them to the contents of article 4. If the nominated bank is willing to act under the credit i.e., review the documents against that contract, then they need take no further action. The rule is designed to protect a nominated bank that does not wish to (or should not) be burdened with additional, and often unnecessary, examination requirements.

4.4 Does article 4 discourage terms such as "details as per contract xxx" under the goods description?

Suggested answer:
Not entirely. A goods description should not just be "goods as per proforma invoice number 12345" or "goods with details as per contract 12345". The credit should provide sufficient information to determine the type of goods being shipped and, where applicable, a reference to the underlying proforma invoice or contract to which the goods refer. A credit that states a goods description followed by a reference to a contract or proforma invoice is not discouraged by this article.

Article 5 – Documents v. Goods, Services or Performance

5.1 Does reference to "Bank" cover non-bank issuers as well?

Suggested answer:
Yes. Where a non-bank issuer issues a letter of credit they take on the responsibilities stated in the UCP under 'issuing bank'.

5.2 Compliant documents are received by the issuing bank, but prior to effecting honour the applicant informs them that they believe there may be poor quality goods in the consignment and requests the issuing bank not to pay. Should the issuing bank follow the instructions of the applicant?

Suggested answer:
No. The rules are quite clear (article 4) banks are not concerned with the sale or other contract on which the credit may be based and (article 5) banks deal with documents and not with goods, services or performance to which the documents may relate. Issues of quality should be resolved between buyer and seller outside the terms of the credit. If an applicant has or had potential issues or concerns on quality, the credit should have included a requirement for the presentation of an inspection or analysis certificate from an independent body.

5.3 Should a bank review documents such as inspection documents, certificates of analysis etc. to ensure that there are no derogatory comments regarding the goods?

Suggested answer:
No. This is not the responsibility of a bank. Sub-article 14 (a) emphasises that banks examine a presentation on the basis of the documents alone as to whether or not they appear on their face to constitute a complying presentation. If the applicant requires that documents not contain any adverse comments or that documents should bear specific statements as to the quality or standard of the goods, this must form part of the terms and conditions of the credit.

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Article 6 – Availability, Expiry Date and Place for Presentation

6.1 Is it acceptable for a bank to issue a letter of credit with an expiry date that is greater than 21 days beyond the latest shipment date, such as one month or six months?

Suggested answer:
It is okay, but the question would be for what purpose if the beneficiary only has a specific period in which to present documents after the date of shipment. Some banks have been known to include the usance period of a draft within the expiry period. This is not necessary. Provided that the documents are presented within the latest presentation date or expiry date, the maturity of the accepted draft or deferred payment undertaking may occur beyond the stated expiry date.

6.2 If a non-nominated bank received a presentation from the beneficiary, where should it be presented – to the nominated bank or the issuing bank? What special information should be added to the covering schedule?

Suggested answer:
The non-nominated bank would be advised to present to the nominated bank especially if the latest presentation date or expiry date is imminent. Often, beneficiaries request their own bankers to handle the transaction and for that bank to send the documents to the issuing bank, thereby possibly reducing costs. In this case, the non-nominated bank takes a risk should the documents be lost in transit unless it takes suitable instructions from its client. There are no special instructions required for the schedule other than payment instructions or contact details, in the event of discrepancies.

6.3 If documents are presented to the issuing bank by the beneficiary or non-nominated bank, will the issuing bank enquire of the nominated bank for confirmation of no previous presentation for the same goods or value?

Suggested answer:
If there is a specific nominated bank, the issuing bank would be well advised to check with the nominated bank prior to effecting any settlement of a complying presentation. The message of the issuing bank would also serve as notice to the nominated bank to mark their files in respect of the drawing that has been made directly to the issuing bank.

6.4 Can we issue a letter of credit available with any bank by deferred payment?

Suggested answer:
Yes. There is no reason why it cannot be made available with any bank. If there is a reimbursing bank involved, the reimbursement authorisation would allow the reimbursing bank to honour a claim from any bank.

6.5 The issuing bank, ABC Bank in USA, issues a credit through XYZ Bank in The Netherlands and XYZ Bank is the nominated bank. The expiry date is stated to be August 16, 2007 at the counters of the nominated bank. The beneficiary presents documents to BBB Bank in The Netherlands on August, 16 2007 and BBB Bank courier all documents to the issuing bank on that day. Issuing bank receives the documents on August 17, 2007. From this scenario, is this presentation considered to be late presentation or not? Can the issuing bank also point out a discrepancy i.e., documents not presented by nominated bank?

Suggested answer:
The documents must be received by the nominated bank or the issuing bank no later than August 16, 2007. By virtue of the issuing bank receiving them on August 17,

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they would be entitled to refuse on the grounds of credit expired. Due to the content of sub-article 6 (a) that "a credit available with a nominated bank is always available with the issuing bank" the issuing bank cannot refuse due to the fact that documents were not received via the nominated bank. However, they will be able to take the course of action referred to in query 6.3 above.

6.6 When comparing UCP 600 to UCP 500 what is the purpose in deleting the sentence "banks will consider such drafts as an additional document"? If the beneficiary presents a draft drawn on the applicant will it make the documents discrepant?

Suggested answer:
The words "banks will consider such drafts as an additional document" were deleted owing to the fact that there was a lot of confusion over what was intended by "additional document". Additional in what sense? What detail was to be reviewed? Was the draft to be accepted as presented? The use of the words in UCP 500 (and now UCP 600) is to stop banks issuing credits available by a draft on the applicant. An applicant has no part to play in the decision process of when a beneficiary is paid. It should be noted, however, that there is nothing to stop an issuing bank from calling for a draft on the applicant (in addition to one which may be drawn on the issuing bank or nominated bank), as a required document, should they need such a draft for their own purposes i.e., to seek reimbursement from the applicant. If so, the credit must provide full details of the requirement for the draft so that a nominated bank knows what it is expected to examine.

6.7 Sub-article 6 (c) states "A credit available with a nominated bank is also available with the issuing bank".

Question: Is it possible for a beneficiary to by-pass the confirming bank or negotiating bank (who has been nominated) and present all the documents directly to the issuing bank for payment. Will it be considered a discrepancy under the credit?

Suggested answer:
As mentioned in the responses to queries 6.3 and 6.5 it is possible. A beneficiary would need to ask itself why would it by-pass a confirming bank when, in all probability, it has paid for the confirmation to be added. The beneficiary, in sending the documents to the issuing bank, takes the risk of non-delivery and in the event of the issuing bank finding discrepancies in the documents may find it impossible to correct them within any remaining presentation period or expiry date.

6.8 Bank A, HK branch issued a letter of credit through its branch S in country C. The credit stipulated:

1. available with any bank by negotiation;
2. advising bank holds special instructions on reimbursement; and
3. documents must be sent by courier to the advising bank stipulated in the credit. If not followed, payment may be delayed or penalty will be charged if documents are couriered to the issuing bank.

Branch S nominated another branch, branch B, as the bank to which documents are to be couriered. Another bank, Bank C, in beneficiary's city presented documents to branch B.

Questions:

1. Is Bank C a nominated bank under this credit?
2. Branch B acknowledges its position only as presenting bank, not negotiating bank. What is the role of branch B?
3. Can Bank C courier documents to Bank A directly?

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Suggested answer:
As the credit is available with any bank, Bank C is a nominated bank. The position of Branch B is unclear. Bank A states in their credit that Branch S holds special instructions and that documents are to be sent to the advising bank i.e., Branch S. Unless these instructions are conveyed between Branch S and Branch B, Branch B would seem to be an unnecessary party and their involvement will delay the whole process. Branch B would need to send the documents to Branch S for settlement to be made to Bank C. Bank C could courier the documents directly to Bank A but item 3 of the query would seem to indicate that this may not be the wisest option. Sending to Branch S would be an option that Bank C could take as this would be in line with the credit terms and conditions.

6.9 A credit indicates expiry date as August 20, 2007 in Bangkok, available with ABC bank. Can the beneficiary request their bankers to present documents directly to the issuing bank (to avoid additional charges by the restricted bank)? If yes, where is the place where the credit expires?

Suggested answer:
By virtue of sub-article 6 (a), the expiry date of August 20, 2007 would apply to a presentation made at the counters of ABC bank or the issuing bank.

Article 7 – Issuing Bank Undertaking

7.1 May an issuing bank refuse to pay if a court injunction is issued?

Suggested answer:
An issuing bank has no choice but to observe a court injunction. However, the issuing bank should review the injunction to ascertain the reason(s) for the granting of the order and the effect that the injunction may have on its ability to perform its responsibilities under the credit and UCP. Issues such as quality of goods should be contested on the basis of the contents of articles 4 and 5. Issues of fraud, in relation to acceptance or deferred payment credits would need to be considered in conjunction with the authorization to prepay or purchase included in sub-article 12 (b) and whether or not the underlying credit excluded that authorization. Again, this may give rise to the issuing bank being required to contest the viability of the court injunction in relation to the content of the UCP 600 and the terms and conditions of their credit.

7.2 If a credit stipulated "available with issuing bank by negotiation" may another bank or banks negotiate the documents under the credit?

Suggested answer:
A credit can only be made available with an issuing bank by honour i.e., payment, deferred payment or acceptance. Under the definition of negotiation, a negotiation credit is a credit that is available with a nominated bank either with a draft drawn on a party other than the nominated bank i.e., the issuing bank or reimbursing bank, or no draft. For another bank to negotiate, it would require the credit to indicate that it was available with that bank or available with any bank.

7.3 If a confirming bank determines a presentation is complying and forwards the documents to the issuing bank, does the issuing bank have the right to hold an opposite view on the documents and refuse to pay the confirming bank?

Suggested answer:
The issuing bank undertaking is to honour documents that constitute a complying presentation. If the issuing bank determines that the documents do not comply, then they are under no obligation to honour no matter whether a confirming bank or nominated bank determined that in their opinion, they did comply.

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7.4 When an issuing bank or confirming bank honour or negotiate a presentation available with another nominated bank who do not pay, incur a deferred payment undertaking, accept a draft or negotiate, should the drafts, if any, be amended to be drawn on the issuing bank or confirming bank?

Suggested answer:
There are no drafts required under a deferred payment credit and drafts are not necessary under a payment or negotiation credit. In a negotiation credit, the drafts would already be drawn on a bank other than the nominated bank. If a nominated bank, who has not confirmed the credit, decides not to accept a draft drawn on it they may request the beneficiary draw a draft on the issuing or confirming bank or forward the documents without a draft. Where a draft is presented, the issuing or confirming bank would be required to accept it. If no draft is presented, a deferred payment undertaking would be given.

7.5 Thinking about the definition of "honour", the obligation of the issuing bank in article 7 should be that the issuing bank must honour under a credit available by payment, deferred payment or acceptance, but must pay under a negotiation credit if the nominated bank does not negotiate.

Suggested answer:
Under a negotiation credit, if there were a draft required it would invariably be drawn on the issuing bank. If the nominated bank does not negotiate, the issuing bank would pay (at sight) or accept (a usance draft) or incur a deferred payment undertaking (no usance draft).

7.6 If a letter of credit is available with an issuing bank by deferred payment can the beneficiary ask the issuing bank to discount?

Suggested answer:
Yes. There is no reason why such a request could not be made. However, the issuing bank would be under no obligation to provide the discount.

7.7 Please explain in sub-article 7 (c) "An issuing bank undertaking to reimburse a nominated bank is independent of the issuing bank's undertaking to the beneficiary".

Suggested answer:
When a credit is issued it represents an irrevocable undertaking, of the issuing bank, to honour a complying presentation made by the beneficiary. Where a nominated bank agrees to act under their nomination and the nominated bank honours or negotiates, that undertaking becomes an undertaking to reimburse the nominated bank. The undertaking of the issuing bank, (to reimburse) a nominated bank that has honoured or negotiated, is independent of its undertaking to a beneficiary (to honour) where a nominated bank has not honoured or negotiated or where the beneficiary has chosen to present directly to an issuing bank.

7.8 What is the implication of sub-article 7 (b)?

Suggested answer:
No different from what it would be under UCP 500. UCP 500 sub-article 9 (d) (ii) stated that an issuing bank was irrevocably bound as of the time it issued an amendment. The same position must equally apply with respect to the issuance of a credit. If an issuing bank issues a credit and then seeks cancellation prior to the advice of the credit reaching the beneficiary, the beneficiary must still provide an acceptance of the cancellation request.

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7.9 Regarding sub-article 7 (b) and reference to "as of the time it issues the credit". In case the SWIFT or telex message is garbled or the mailed credit is missing, is the credit still valid and the issuing bank still bound?

Suggested answer:
The issuing bank is bound as of the time it issues the credit. The fact that the credit is garbled or lost in transit does not change the position that the credit was issued and the issuing bank was bound as of that date.

7.10 Under a deferred payment credit, may the issuing bank refuse to pay (reimburse) if a court injunction has been issued?

Suggested answer:
Clearly, an issuing bank cannot ignore a court injunction. But, an issuing bank needs to consider the effects of that court injunction in relation to the terms and conditions of the letter of credit and the effect of sub-article 12 (b). If the issuing bank has not excluded this rule or it is known that the nominated bank has prepaid the deferred payment undertaking, the issuing bank should revert to the court to seek the removal of the order. The issuing bank would need to present a copy of the credit and the UCP to the court to explain the transaction and the rules that affect a deferred payment undertaking. The issuing bank should also consider the points mentioned in the suggested answer to question 7.1

Article 8 – Confirming Bank Undertaking

8.1 Can a draft be drawn on a confirming bank if a credit is available with it by negotiation? What if the credit is available with it by sight payment, deferred payment or acceptance?

Suggested answer:
If a draft is drawn on the confirming bank, it can only be available with them by payment (sight draft) or acceptance (usance draft). Under a credit available by negotiation the draft must be drawn on a bank other than the nominated (confirming) bank. Under a deferred payment credit no draft should be requested.

8.2 If a bank adds confirmation to a credit without a request or authorization of the issuing bank, what are the risks they may face?

Suggested answer:
The provisions in article 8 reflect the situation where the confirming bank has added confirmation at the request or authorization of the issuing bank. Where a bank has added a "silent" confirmation, they have no rights with regard to agreeing to any amendment that is made to the credit (a right that is afforded to a confirming bank under sub-article 10 (a) of UCP 600). A silent confirmation has no recognition in the UCP. The conditions, under which the bank will add their confirmation and how the confirmation will be effective, must be clearly indicated in a separate agreement that is signed between the bank and the beneficiary.

8.3 Confirmation must only be added by a bank?

Suggested answer:
No. Confirmation could be added by any party that is acceptable to the beneficiary and the issuing bank (who must request or authorise such party to add confirmation). For issuing bank read non-bank issuer in the event of such issuance.

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Article 9 – Advising of Credits and Amendments

9.1 Does an advising bank take any risk if it advises a credit directly to the beneficiary instead of through the second advising bank as indicated in the credit?

Suggested answer:
An advising bank should follow the instructions contained in the credit. However, it is recognised that in certain circumstances the beneficiary may be willing to receive the credit directly from the advising bank thereby reducing costs. In such an event, the advising bank should have the agreement of the beneficiary to send the credit direct and should inform the issuing bank of the action that has been taken, and that it was at the request and with the agreement of the beneficiary.

9.2 How to define the advising bank's responsibility in respect of "advice accurately reflects the terms and conditions of the credit or amendment received"?

Suggested answer:
Sub-article 9 (b) for the advising bank and sub-article 9 (c) for the second advising bank, recognise the responsibility of such banks to ensure that all the details of a credit or amendment are advised to the beneficiary. It can happen that when photocopying a credit or amendment that has been received, part of the message is not copied due to the folding of the document to accommodate the photocopier. The rules require the bank to ensure that all the details of a credit or amendment that are relevant to the beneficiary are sent to the beneficiary. There may be information that appears in a credit or amendment that is between the two banks e.g., financing requests, interest details or bank account numbers etc. that are of no concern to a beneficiary. These may be conveyed to a beneficiary or deleted from the advice that is sent to the beneficiary.

9.3 What does the last sentence of sub-article 9 (f) mean?

Suggested answer:
Sub-article 9 (f) allows an advising or second advising bank to advise a credit or amendment to the beneficiary even though they have not been able to satisfy themselves as to the apparent authenticity of the message e.g., the authentication was incorrect or the signatures did not agree. In this event, the bank must inform the beneficiary in their advice of the credit or amendment and also inform the issuing bank. However, in order to protect the beneficiary, most banks do not take this option and will formally advise the credit or amendment only when they are able to satisfy themselves that the message is apparently authentic.

9.4 In sub-article 9 (e) "without delay" is mentioned, but how many days does this mean?

Suggested answer:
The words "without delay" appear in a few places in UCP 600. During the course of the revision of UCP 500 some requests were made for a definition of without delay to be given. Unfortunately, this term is not capable of being defined as there can be no penalty attached to any failure to adhere. For example, if sub-article 9 (e) stated "If a bank is requested to advise a credit or amendment but elects not to do so, it must so inform, within 3 banking days, the bank from which the credit, amendment or advice has been received". What would be the penalty if the advising bank informed the issuing bank on the 4th or 5th banking day? Would the advising bank be compelled to advise the credit? The answer to the latter question must surely be no. It therefore follows that 'without delay' cannot be fully defined in terms of a period of days. The number of days to which it equates will differ by transaction. For example, if the advising bank is required to make a credit decision due to the role they are being asked to perform, this could take one day or five days. The requirement is for the

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advising bank to inform the issuing bank as of the time the decision is made not to advise the credit or amendment and takes into account the fact that the decision may not be an immediate one.

Article 10 - Amendments

10.1 If documents comply with an amendment to which the confirming bank elects not to extend its confirmation, could the confirming bank change its status to a common nominated bank? In these circumstances where should the presentation be made – only to the issuing bank?

Suggested answer:
The confirmation that was added to the credit and to any amendment, for which there is no reference to the confirmation not applying, will be available to the beneficiary. It is only to the extent of the amendment that has not been confirmed for which the confirming bank has given no undertaking. For example, the credit is issued for USD100,000 and an amendment is received to increase the value to USD150,000. The confirming bank advises the credit with its confirmation added for USD100,000. When the amendment is received, the confirming bank decides that they will not add their confirmation to the increase. They advise the amendment to the beneficiary stating that their confirmation has not been added to the increase. The beneficiary presents documents to the confirming bank for USD150,000. The confirming bank must honour or negotiate a complying presentation up to the amount of their confirmation i.e., USD100,000. They have no undertaking to pay the remaining USD50,000. The issuing bank has given an undertaking to honour for USD150,000.

10.2 Is it proper for a beneficiary to present documents that comply with the original credit and not to an amendment, where they do not provide a notification of rejection of the amendment to the advising bank?

Suggested answer:
Under sub-article 10 (c) this is allowed. The drafting group for UCP 600 proposed to ICC national committees that the rule be changed to require the beneficiary to present a notification, no later than the date of presentation of documents, stating which amendments had been accepted or rejected. This proposal was rejected almost unanimously. Under sub-article 10 (c), the beneficiary should provide a notification of acceptance of any amendment but if they fail to do so it will be the presentation of documents that will determine whether or not the beneficiary has accepted or rejected an amendment. However, it may be the case that it is not always possible to determine whether an amendment has been accepted or rejected and the bank will still need to make enquiries of the beneficiary to ascertain the position.

10.3 Since sub-article 10 (c) makes it hard for the issuing bank to determine whether an amendment is accepted or not, why do we still keep it in the UCP 600?

Suggested answer:
The wording is there to remind beneficiaries that they have a duty to advise the bank of their acceptance of amendments. Given that most amendments are issued as a result of a specific request of the beneficiary it is not unreasonable to expect that the vast majority of amendments will be accepted. This is why sub-article 10 (c) refers to notification of acceptance rather than of acceptance or rejection. The wording also serves to advise beneficiaries that failing notification of acceptance, banks will make a determination of acceptance based on the presentation of documents.

10.4 Under sub-article 10 (d), if the advising bank has not received any notification of acceptance or rejection, should the advising bank enquire of the beneficiary?

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Suggested answer:
The advising bank may make enquiries of the beneficiary but the beneficiary is under no obligation to provide any intimation of acceptance or rejection prior to the presentation of documents.

10.5 In the letter of credit, the issuing bank stipulates "notification of acceptance or rejection of an amendment, if any, issued by the beneficiary is required". The beneficiary fails to give such notification. Where an amendment has been issued, does this mean that sub-article 10 (c) is modified and the beneficiary must present such notification as a document required by the credit?

Suggested answer:
If the request for notification is in the form of a document to be presented by the beneficiary then the beneficiary must comply. Such a request may be seen as a modification of the rule in sub-article 10 (c).

10.6 An amendment reduces the credit amount from USD100,000 to USD50,000 and the beneficiary fails to notify the advising bank whether they accept or reject the amendment. The beneficiary presents documents for USD100,000 to the advising bank for negotiation.

Questions:
1. Is it implied that the beneficiary rejects the amendment?
2. Can the advising bank negotiate documents for USD100,000?
3. Must the advising bank advise the issuing bank of rejection of the amendment?

Suggested answer:
In answer to the specific questions:
1. Yes. The beneficiary has presented documents for the value of the original credit.
2. Yes. The credit cannot be amended without the agreement of the beneficiary. The beneficiary has rejected the amendment by virtue of a presentation for the value of the original credit.
3. From the schedule and the documents presented it should be clear to the issuing bank that the amendment has been rejected. The advising bank may provide such a statement on their covering advice to the issuing bank, for information purposes, but are under no obligation to do so.

Article 11 – Teletransmitted and Pre-Advised Credits and Amendments

11.1 Do the words "not inconsistent" mean there is to be no inconsistency in the confirmation of the credit or inconsistency in the mail confirmation?

Suggested answer:
It means that the operative instrument should, in all respects, mirror the initial telecommunication.

11.2 What should happen if the operative credit is inconsistent with the teletransmission?

Suggested answer:
The advising bank should revert to the issuing bank for clarification.

11.3 If an issuing bank issues a pre-advice of a credit can they subsequently advise that they are cancelling the credit?

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Suggested answer:
No. The rule in sub-article 11 (c) is quite clear – the issuing bank is irrevocably committed to issue the operative credit. If a bank has any doubt as to whether a credit will be issued, no pre-advice should be sent.

Article 12 - Nomination

12.1 If a nominated bank does not negotiate should it clearly note this fact on its covering schedule when making a presentation to the confirming bank or issuing bank?

Suggested answer:
There is no need for any such statement. The covering schedule should merely refer to the documents being a presentation under the terms of the issuing bank's credit. There should be no statements such as "on collection", "in trust" or "on approval". Such terms may be misinterpreted to be an allowance to treat the presentation under the Uniform Rules for Collection. It is, however, advisable for nominated banks that have negotiated to indicate this fact on their covering schedule.

12.2 If the letter of credit is available with ABC bank by deferred payment we understand this means that ABC bank has the authority of the issuing bank to discount the documents. Does this authorization extend to other, non-nominated, banks that may handle the presentation?

Suggested answer:
The rule in sub-article 12 (b) is quite clear. If an issuing bank issues a credit available by deferred payment this provides the nominated bank with an authorization to prepay or purchase a deferred payment undertaking incurred by the nominated bank. This rule covers two aspects: (1) that the nominated bank must have incurred a deferred payment undertaking and (2) that unless the credit excludes or modifies the rule, the nominated bank has the authorization of the issuing bank to prepay or purchase. This rule does not extend to non-nominated banks nor does it provide an authorization for a nominated bank to prepay or purchase where the issuing bank has given a deferred payment undertaking and the nominated bank has not issued their own deferred payment undertaking in favour of the beneficiary.

12.3 If the nominated bank, in a credit available by negotiation, examines the documents and sends them to the issuing bank, but chooses not to negotiate, will it affect the rights and responsibility of the nominated bank?

Suggested answer:
If a nominated bank examines documents but does not honour or negotiate, they have not acted under their nomination. The bank was named in the credit as a nominated bank (to act). If that bank, who had not added its confirmation, decided not to act they are not a nominated bank in the context of honouring or negotiating under the credit.

12.4 Can the nominated bank indicate that it has sent documents to the issuing bank on a "collection basis"?

Suggested answer:
As mentioned in question 12.1, the use of such terminology should be resisted. In previous ICC opinions it has been stated that if such words are used the issuing bank may be entitled to treat the documents as a collection under the Uniform Rules for Collection.

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Article 13 – Bank-to-Bank Reimbursement Arrangements

13.1 When would an issuing bank issue a credit subject to the conditions of sub-article 13(b)? Why?

Suggested answer:
Whilst the URR are the more encompassing rules with regard to bank-to-bank reimbursements, there are still a number of banks that do not refer to them in their letters of credit. The rules need to cater for these situations and this is why sub-article 13 (a) refers to situations where the URR apply and sub-article 13 (b) where URR does not apply. It should be noted that sub-article (c) applies whether (a) or (b) is applicable. The choice of whether or not to use URR is for the issuing bank to make and is often subject of a policy decision within a bank.

13.2 In a credit, is it necessary to indicate the number of the publication of URR i.e., 525 or only indicate that it is subject to URR?

Suggested answer:
As most letters of credit are issued using the SWIFT MT7 series messages, there is a specific field in these messages (40E) for the applicable rules to be specified. Where URR is applicable, these are "UCP URR LATEST VERSION" or "EUCP URR LATEST VERSION". Reference to "LATEST VERSION" would apply to the versions of UCP, EUCP and URR that are in operation on the date of issuance of the credit. In a credit issued by telex or letter, it would be advisable to state "URR 525" or "URR latest version". It is envisaged that sometime in 2008 the URR 525 may be updated to reflect the language and style of UCP 600, so the publication number will change.

13.3 Is a reimbursement authorisation automatically subject to URR? If not, and we are the reimbursing bank and receive a reimbursement authorisation which bears an expiry date, what should we do?

Suggested answer:
Due to the change in wording in article 1 of UCP 600, a reimbursement authorisation is no longer automatically subject to URR. In line with the changes that were made to the MT700, MT710, MT720, to incorporate field 40E "Applicable Rules", the same change has been made in the reimbursement authorisation (MT740). The issuing bank is required to indicate "URR LATEST VERSION" or "NOTURR". If you receive a reimbursement authorisation including an expiry date, you should either revert to the issuing bank seeking deletion or accept the authorization on the basis that you will adhere to the expiry date. The emphasis in sub-article 13 (b) is focussed towards the instructions given by an issuing bank and not the actions of a reimbursing bank.

13.4 If we, the reimbursing bank receive a claim from a nominated bank after the expiry date stated in a reimbursement authorisation, what should we do?

Suggested answer:
If an expiry date has been included within the reimbursement authorisation, the reimbursing bank cannot ignore that fact and pay the claim. They would be required to refuse the claim and leave the claiming bank to resolve the issue with the issuing bank including any claim they may have for delayed payment interest.

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Article 14 – Standard for Examination of Documents

14.1 Under UCP 600, are banks required to effect payment within five banking days following receipt of the documents?

Suggested answer:
No. The rule in sub-article 14 (b) is that a nominated bank acting on its nomination, a confirming bank, if any, and the issuing bank shall each have a maximum period of 5 banking days following the day of presentation to determine whether the documents comply. When the bank determines that the documents comply it is at that point that they must honour or negotiate (see sub-articles 15 (a), (b) and (c) and answer to question 15.2).

14.2 What documents can be issued by the beneficiary?

Suggested answer:
It is usual for the beneficiary to issue documents such as invoices, packing lists, weight lists and beneficiary certificates. Whether they may issue documents such as inspection certificates, certificates of origin and certificates of analysis will depend on the wording appearing in the credit. It is also not unusual for commodity type beneficiaries to own their own vessels and therefore issue a bill of lading.

14.3 What is the meaning of "fulfil the function"?

Suggested answer:
That the document provides data that is in line with its title and/or the credit requirement. For example, if the credit requires a packing list but the presented document does not provide any data that can be considered to be packing detail it would not appear to fulfil its function. The reference to "fulfil the function" does not impose on a document checker a requirement that they be an expert in every type of document and its content. The requirement is that the document checker can ascertain that the document contains data that befits the required document.

14.4 If the documents show the address of the beneficiary or applicant in a different city from that in the credit, but in the same country, is this acceptable?

Suggested answer:
Yes, except where the applicant address appears as part of the consignee or notify party details. It could be argued that this is the position under UCP 500 as well. Sub-article 37 (a) of UCP 500 does not make any reference to addresses of the beneficiary or the applicant.

14.5 Must each document be connected with each other? Connected with the credit?

Suggested answer:
This question brings out the issue of linkage. Linkage comes in two forms.

(1) The ICC issued a position paper (number 3) under UCP 500 which sought to explain the requirements in respect of non-documentary conditions. This paper, whilst explaining that non-documentary conditions in a credit will be disregarded, went on to state that the position on non-documentary conditions would prevail unless there was linkage between the condition and a required document. This caused a lot of indifference between banks in their attitude towards accepting documents. For example, is a condition in a credit stating "Goods must be shipped on a regular line vessel" non-documentary or documentary as the credit requires presentation of a bill of lading and therefore linkage occurs? Some banks took the view it was non-documentary whilst others took the opposite viewpoint. The introduction to UCP 600 makes it clear that the position papers have no

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effect under UCP 600. The issue of linkage has not been introduced into UCP 600. However, it should be noted that whilst a bank will not be required to examine the presentation for a document evidencing compliance with a non-documentary condition, the stipulated documents that make up the presentation must not contain data that conflicts with the stated condition.

(2) Whether there is a need for the documents to contain data that links them to the same presentation. The answer to this is NO. If any form of linkage between the documents is required, then this must be achieved through the terms and conditions of the credit.

14.6 Under UCP 600 the terminology "forwarder" is not used and it is stated that a transport document may be issued by any party. After July 1, 2007 if a credit stipulates "forwarders BL not acceptable" how should we treat this stipulation?

Suggested answer:
The condition is unclear. Does it refer to a document that is issued on the letterhead of a freight forwarder or does it refer to the fact that the bill of lading must be signed by the carrier rather than by their agent? An explanation should be sought of the issuing bank as to their intentions.

14.7 Please interpret sub-article 14 (d) and give an example.

Suggested answer:
Under UCP 500 the position was that documents should not contain data that was deemed to be inconsistent between documents. The problem with the reference to inconsistent or inconsistency was that some banks interpreted this to the extreme. This resulted in a number of banks rejecting documents due to typographical or inconsequential reasons. The wording in sub-article 14 (d) is designed to highlight that whilst the data in documents must not be in conflict with data in the same document, any other stipulated document or the credit, it need not be identical. For example, a credit contains a goods description of "Tyres for Motor Vehicles", the invoice contains the same description but in the packing list it states "500 Tyres for Ford Vehicles, 500 Tyres for Audi Vehicles, and 500 Tyres for Hyundai Vehicles, etc". The description on the packing list is not identical but it is not in conflict with the description in the invoice or the credit.

14.8 What is the difference between latest presentation date and the expiry date? What if the beneficiary presents documents within the latest presentation date and negotiation occurs after the expiry date?

Suggested answer:
The latest presentation date is the date that falls at the end of the specified number of days after shipment, for presentation of documents. This period is usually 21 calendar days after the shipment date, but can be any period depending on the journey and type of transport used. The expiry date is the date on which the undertaking of the issuing bank or confirming bank will cease. Provided the beneficiary presents complying documents on or prior to the latest presentation date but in any event within the expiry date, the act of honour or negotiation may occur after such dates.

14.9 The usual presentation period for the beneficiary to present documents is not later than 21 days after shipment. What if the beneficiary needs more time i.e., 30 days? Does UCP 600 allow the applicant to stipulate 30 days?

Suggested answer:
Sub-article 14 (c) establishes the default period for presentation following the date of shipment. This default period is set at 21 calendar days where the credit is silent as

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to the period required. The credit may specify any period of time for the presentation of documents, up to and including the expiry date of the credit.

14.10 Is it necessary to mention the full address of the beneficiary and the applicant in the invoice? If the invoice shows the beneficiary's name and applicant's name only, without mention of any address or country, is it acceptable? If the invoice shows beneficiary's name and country, applicant's name and country, without mentioning the address of both parties, is it acceptable?

Suggested answer:
There is no requirement for a full or partial address to appear in the invoice. The rule in sub-article 14 (j) refers to "when the addresses" appear in a document, not that they must appear.

Article 15 – Complying Presentation

15.1 Can negotiation be made the day after checking the documents?

Suggested answer:
It is possible but the timing will depend on the processing time needed by the nominated bank in arranging the advance of funds or the undertaking to advance funds.

15.2 Does article 15 mean that banks must honour or negotiate the same day as they find the documents to comply?

Suggested answer:
No. Whilst this may be feasible in certain cases, the timing of when honour will occur will depend on the processing time required by the bank and, in some cases, the terms of the credit in relation to reimbursement.

15.3 What is the rationale for including in sub-articles 15 (b) and (c) reference to "and forward the documents ..... "?

Suggested answer:
If a bank honours or negotiates then they have satisfied themselves as to the documents complying and the conditions relating to reimbursement. On this basis, there is no necessity for them to hold onto the documents for a period beyond the date of honour or negotiation. In fact, during the UCP 500 revision process, a number of banks requested the inclusion of this condition as they had experienced situations where the nominated bank had been reimbursed but still held onto the documents for a period of time and for no valid reason.

15.4 Five banking days is the maximum time for banks to examine documents. What is the maximum time for banks to pay the proceeds to a beneficiary under a sight credit?

Suggested answer:
When a nominated bank acting on its nomination, a confirming bank, if any, or the issuing bank determine that the documents comply they must either honour or negotiate. The maximum time for honour or negotiation will be affected by the reimbursement conditions that are stated in the credit. For example, if a credit states that the confirming bank is to claim reimbursement value 3 working days following the determination of compliance of the documents, then the settlement to the beneficiary will be with a value date that matches the value that the confirming bank expects to be reimbursed.

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Article 16 – Discrepant Documents, Waiver and Notice

16.1 If a beneficiary presents documents to a nominated bank for negotiation and the nominated bank find the documents to be discrepant, does the nominated bank need to refuse to negotiate and list the discrepancies to the beneficiary in writing, or is a telephone advice valid?

Suggested answer:
The requirement in sub-article 16 (d) is that the advice of refusal is given by telecommunication or other expeditious means. Telecommunication would include by telephone. Where a telephone advice of refusal is given it is wise to follow this up in writing so that there can be no dispute over what was or was not stated in the telephone conversation.

16.2 Could you describe more about the close of a banking day? For example, in Thailand the banks close at 4.30 or 5.00pm and in USA the banks close at 5.00pm.

Suggested answer:
Reference to the close of the fifth banking day, in sub-article 16 (d), is not confined to the banking hours that are covered in article 33. The requirement in sub-article 16 (d) is that the message conveying the refusal notice leaves the sending bank by the close of the fifth banking day, which for the purposes of sending the message (which may be out of the control of the letter of credit department as it is in the banks systems for sending) would be 11:59pm.

16.3 What is the consequence if a nominated bank fails to act in accordance with sub-article 16 (c)?

Suggested answer:
As a nominated bank has no obligation under a credit, unlike an issuing bank or confirming bank, it cannot be liable to effect settlement for failing to adhere to the provisions of article 16 even if it has agreed to act under its nomination. This position is no different to that under UCP 500.

16.4 The issuing bank states in their refusal notice "that the bank is holding the documents pending further instructions from the presenter". In this case, how can they "return the documents to the presenter at any time"? Will this not be in conflict since the issuing bank has not received instructions from the presenter and the presenter has not requested the return of the documents?

Suggested answer:
UCP 600 no longer includes the words "at the disposal of", in relation to the bank holding documents, as appeared in sub-article 14 (d) (ii) of UCP 500. By the deletion of these words the rule in sub-article 16 (e) allows a bank, that has provided a refusal notice according to UCP 600 sub-articles 16 (a) or (b), to return the documents should no instructions or waiver be forthcoming. The rule recognises the position that a bank should not be responsible for holding onto documents indefinitely.

16.5 Can you provide an example in respect of sub-article 16 (c) (iii) (d) - "that the bank is acting in accordance with instructions previously received from the presenter."

Suggested answer:
A nominated bank or presenting bank or beneficiary forwards documents to the issuing bank. In their covering schedule they indicate that they have observed discrepancies in the documents and list them. They go on to state that should the issuing bank observe the same discrepancies, they require a refusal notice to that effect but rather than wait for further instructions request the issuing bank to

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immediately contact the applicant for a waiver and only release documents against a waiver that is acceptable to the issuing bank. The issuing bank, having examined the documents, determines that the listed discrepancies are the only discrepancies and they are agreeable to the course of action requested. They provide a refusal notice listing the discrepancies observed and state that they are acting in accordance with the instructions received. If the issuing bank finds other discrepancies they should seek instructions from the presenter before proceeding with the instructions previously received.

16.6 The issuing bank refused documents and the beneficiary presented corrected ones. As the beneficiary made a new presentation, why can't the bank mention new discrepancies?

Suggested answer:
The issuing bank may refuse for a second time but only in respect of discrepancies that have occurred due to the content, or an error in the corrections made, in the replacement document(s). If a replacement document contains discrepant data that was apparent in the original presentation of that document, then the issuing bank is not able to refuse for that reason. The discrepancy should have been observed at the time of the initial review of the documents.

16.7 After the issuing bank informed their refusal to honour, due to a discrepancy, the nominated bank presented new documents, within the presentation period, which complied with the credit. In this circumstance, must the issuing bank honour or still refuse documents? If it must honour, can the issuing bank collect their discrepancy fee as they advised details of the discrepancy at the time of first presentation?

Suggested answer:
If corrected documents are presented within the latest presentation period and/or expiry date, then the issuing bank must honour. The presentation now complies. The issuing bank would be entitled to deduct a discrepancy fee due to the fact that they had observed an initial discrepancy in the first presentation.

16.8 The nominated bank stated "we have negotiated documents under this credit" and also indicated in its covering schedule discrepancies found in the documents. The issuing bank did not issue a refusal notice after receipt of such documents. The discrepancies stated by the nominated bank did exist. Is the nominated bank entitled to reimbursement due to the fact that the issuing bank did not refuse after receipt of the documents?

Suggested answer:
Yes. Even though a nominated bank may have indicated discrepancies in the documents presented, the issuing bank must still provide a notice of refusal even if they agree with the discrepancies that were listed. As the issuing bank did not send a notice of refusal, they are precluded under sub-article 16 (f) from stating that the documents do not constitute a complying presentation and are required to honour.

16.9 Under sub-article 16 (e), can the issuing bank return the documents to the presenter directly, without giving notice, and only mentioning the discrepancy in their returning schedule? Or, the issuing bank must return the documents immediately after they give a refusal notice required by sub-article 16 (c) (iii) (c)?

Suggested answer:
An issuing bank cannot return the documents without giving notice. If the issuing bank elects to return the documents rather than seek further instructions from the presenter or seek waiver from the applicant, they must provide a refusal notice by telecommunication in which they indicate that they are returning the documents. The documents should then be returned to the presenter without delay.

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16.10 If the issuing bank does not indicate in their SWIFT refusal message that they are returning the documents, can the presenting bank send a reply message informing them to hold the documents pending the beneficiary contacting the applicant?

Suggested answer:
In the refusal notice, the issuing bank must indicate one of the four options shown under sub-article 16 (c) (iii) (a), (b), (c) or (d). If the issuing bank chooses (a) or (b) then the presenter is actually being requested to provide instructions. The reply message stated above would constitute a form of instruction to the issuing bank.

16.11 Can a bank, after the documents have been checked on day 1, decide to inform the discrepancies to the customer on day 5?

Suggested answer:
Sub-article 16 (a) commences "When a nominated bank .....". Reference to "when" is a directive that at the time the bank determines that they do not comply they are to provide a notice of refusal. However, there are exceptions to this. An issuing bank, having examined the documents on day one, may decide to exercise their right under sub-article 16 (b) to contact the applicant for a waiver. This will delay any refusal notice being sent to the presenter. Also, depending on the time that the documents were examined and any processing pressures within the bank, an advice of refusal may not be sent until the following day. The rule in article 16 does not allow an arbitrary position that a bank may wait to the fifth banking day in all cases where the documents were examined on day one or two etc.

Article 17 – Original Documents and Copies

17.1 A credit calls for copy documents and prohibits originals, can we present a photocopy of a document for which the wording "original" still remains?

Suggested answer:
Yes. The reference to "original" applies to the document that was photocopied, it does not apply to the photocopy itself.

17.2 In sub-article 17 (a) it says that the presenter must present at least one original document. In case one original must be presented to the applicant direct, can I present a copy?

Suggested answer:
If the credit specifically states that an original of all or certain documents must be sent to the applicant, this would be seen as a modification of the rule unless the document was issued in more than one original in which case it would still be possible for an original to be presented.

17.3 Please explain "document issuer's original stationary"?

Suggested answer:
Every company will have a form of headed paper which specifies the name of the company and other details relating to their address and telecommunication details. In its printed form it is a copy, as a company will generally order large quantities of the document from their printers and, therefore, is a reproduced document. If data is added to that document it becomes an original under sub-article 17 (c) (ii).

17.4 Can a bank accept documents as original if there is wording to the effect that it will need no signature?

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Suggested answer:
A signature is only one of a number of ways in which a document may be considered to be an original. Provided the document otherwise complies with one or more of the conditions stated in sub-articles 17 (b) and/or (c) it will be considered to be an original.

17.5 Since invoices do not need to be signed by the beneficiary, is this true for a packing list or similar type of document? For a beneficiary certificate or other beneficiary documents what is the rule?

Suggested answer:
A document need not be signed unless specifically required by the credit, the document itself or the UCP. Certificates or declarations, by the nature of the document, require a signature (refer to ISBP publication 681 paragraph 37).

17.6 If a document is a photocopy and signed with an original signature or signed according to sub-article 17 (b), is it an original?

Suggested answer:
Yes. The signing of a copy of a document would be one way in which to make a copy or photocopy document an original under the UCP.

17.7 Credit required: Packing list in three copies.
Three copies of packing list were presented. Is this acceptable?

Suggested answer:
No. Sub-article 17 (e) states that a requirement for documents to be presented in duplicate, two fold or two copies (in this case three copies) will be satisfied by the presentation of at least one original and the remaining number in copies.

17.8 Invoice in three copies is required by the credit. Would it be acceptable for the beneficiary to fax the documents to the bank and the bank then place an original stamp on the fax invoices? Would the fax documents be considered as original?

Suggested answer:
If the three invoices were sent to the bank, by fax, there would be no indication of originality that meets the requirements of sub-articles 17 (b) or (c). If the bank were to add an 'original' stamp to the three fax invoices this would not be acceptable under sub-article 17 (c) (i). Sub-article 17 (c) (i) states "appears to be written, typed, perforated or stamped by the documents issuer's hand". If the bank adds the 'original' stamp, it could not meet the requirement for this to have been completed by the document issuer's hand.

17.9 Sub-article (e) refers to "... except when the document itself indicates otherwise". What does this mean?

Suggested answer:
The document may clearly indicate that it has been issued with the sole purpose of acting as a copy.

17.10 LC requires a certificate of origin in triplicate. If the beneficiary presents a certificate of origin (issued in 'original', 'triplicate' and a 'copy') only (the one marked 'duplicate' is missing). Is this acceptable or not?

Suggested answer:
Yes. Sub-article 17 (e) states that a document in triplicate will be satisfied by the presentation of at least one original and the remaining number in copies. The documents marked 'triplicate' and 'copy' serve the purpose of presenting copies. The

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fact that a document marked 'duplicate' has not been presented does not create a discrepancy.

17.11 According to ISBP, when a copy of a document is required, an original can be accepted instead of a copy. In this case, suppose a credit calls for a copy of a bill of lading to be presented and the originals are to be sent directly to the applicant. The beneficiary presents an original bill of lading instead which indicates the "number of originals" issued. Can such a presentation be acceptable or not?

Suggested answer:
If the credit requires the original bills of lading to be sent to the applicant, this means all of the originals – as indicated on the bill of lading in the box "number of originals issued" or in similar text elsewhere in the document. If the beneficiary presents an original bill of lading to the bank this means that not all the originals were sent to the applicant, as required by the credit, and therefore the presentation will be discrepant.

Article 18 – Commercial Invoice

18.1 The credit amount is USD50,000. If the invoice presented shows an amount of USD60,000 and the cover letter of the nominated bank and the draft of the beneficiary are requesting settlement of USD50,000, is this acceptable?

Suggested answer:
From the information provided, the nominated bank has accepted an invoice for an amount greater than the amount of the credit but has not honoured or negotiated for an amount in excess of that permitted by the credit. On this basis, the actions of the nominated bank bind the confirming bank, if any and the issuing bank to accept the invoice. This is the effect of sub-article 18 (b).

18.2 Commercial invoice must be made out in the same currency as the credit. How about a credit denominated in local currency but the reimbursement clause states that "at maturity, we shall effect payment for the equivalent in USD", is the currency USD?

Suggested answer:
No. The currency of the credit is that of the local currency. The fact that reimbursement is to be made in the equivalent of US Dollars does not make US Dollars the currency of the credit.

18.3 If a credit stipulates that a signed commercial invoice is required, is it necessary to include an indication of the person's name who is signing on behalf of the beneficiary?

Suggested answer:
No. The requirement is for a signature that purports to be acting for or on behalf of the beneficiary. There is no requirement for the name of the person or a bank to investigate whether the person signing was authorised by the company to do so.

18.4 Sub-article 18 (c) – 'corresponds' means mirror image or not on the invoice?

Suggested answer:
Reference to "corresponds" does not mean a mirror image, although in most instances the beneficiary will repeat the goods description word for word so as to avoid any possible dispute on the wording. Use of 'corresponds' allows for the goods description to appear in a number of places on the invoice (not necessarily in one place or field) and to reflect what has actually been shipped rather than the quantities that may be shown in the credit. For example, in a credit allowing partial shipments and a goods description of 20 cars, 20 taxis and 20 vans, the beneficiary may only ship 15 cars in the first shipment. The invoice for this presentation would

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only make reference to the 15 cars that were shipped. It is not a mirror image but the description 'corresponds'.

18.5 If a credit requires signed invoice in 3 copies, should the beneficiary present 3 original signed invoices, or is 1 original signed invoice and 2 copies of signed invoice acceptable?

Suggested answer:
ISBP publication 681 paragraph 32 states that copies of documents need not be signed. In a credit requiring a signed invoice in 3 copies, this may be satisfied by three invoices that are originally signed, one invoice that is originally signed and two photocopies of the signed invoice or one originally signed invoice and two copies of an invoice.

18.6 Sub-article 18 (c) states that a "goods description in the commercial invoice must correspond with that appearing in the credit" but in sub-article 14 (d) it is stated that data in a document need not be identical. Is this not a contradiction?

Suggested answer:
Use of the word "correspond" also signifies that the wording need not be identical. There is no contradiction between sub-article 18 (c) and sub-article 14 (d).

18.7 Should all the content in a SWIFT MT700 field 45A be indicated in the invoice?

Suggested answer:
Field 45A is the field designated for the goods description. The description that appears in this field is required to appear in the invoice to the extent that the description in the invoice corresponds to that in the credit. (See the responses to other questions on a similar theme). If this field includes reference to an Incoterm, then the Incoterm should be included within the content of the invoice.

18.8 Sub-article 18 (c) states that the description of goods in the commercial invoice must correspond with that appearing in the credit. This means that if the credit stipulates the description of goods as "Potatoes, Onions, ..." but invoice shows "Vegetables", this will be okay. Is this correct? (If so, the applicant may receive other kinds of vegetables than those stipulated in the credit).

Suggested answer:
The credit, as described in the query, is quite specific with regard to the type of vegetables to be shipped. If the invoice showed 'vegetables' as the goods description, this would not be seen as corresponding with the description in the credit. As is stated in the query, by referring to 'vegetables' the goods actually shipped may not be of the type which is specified in the credit itself. It should be noted that if it were the other way around i.e., the credit specified 'vegetables' and the invoice listed out the various types of vegetables, this would be acceptable.

18.9 Credit states in the SWIFT MT700 field 45A – Clothes (70% cotton, 30% polyester) and commercial invoice shows only Clothes. Is this acceptable or not? As a variation, commercial invoice shows Clothes (70% cotton, 30% polyester) merchandise no. 111 and item code 111. Is this acceptable or not?

Suggested answer:
For the first example, the answer would be no. The rationale would be the same as that given in the opening response to query 18.8. The addition of merchandise numbers or item codes does not detract from the description shown and would be acceptable.

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Article 19 – Transport Document Covering at Least Two Different Modes of Transport

19.1 In a multimodal or combined bill of lading, may the field "port of loading" and "port of discharge" be left blank when the place of dispatch, taking in charge and the place of final destination are completed in accordance with those stated in the credit?

Suggested answer:
Yes. If a credit specifies the starting point as being a place other than a port or the final destination as a place other than a port, then data included in the fields "place of receipt" or similar and "place of final destination" or similar may be completed according to the credit. There is no need for the transport document to indicate the modes of transport that have been used.

19.2 When using the phrase "one and the same" in sub-article 19 (c) (i), is it just to emphasize? Are there situations which the "one" transport document is not "the same" or vice-versa?

Suggested answer:
Use of the words "one and the same" is to clearly spell out that information regarding the carriage, and in particular any details regarding the place(s) of transhipment are shown in one transport document. This highlights that separate documents covering each leg of the carriage are not allowed unless required by the credit.

19.3 The transport documents show an additional place of dispatch, taking in charge, shipment or place of final destination. Even if the additional place is different from the place of dispatch, taking in charge or shipment or final place of destination stipulated in the credit, is this okay?

Suggested answer:
Yes. Sub-article 19 (a) (iii) (a) states "the transport document states, in addition, a different place of dispatch, taking in charge or shipment or place of final destination". Where a different place of dispatch, taking in charge or shipment is shown, the transport document must indicate that the goods have been dispatched, taken in charge or shipped on board at the place stated in the credit. A place of final destination different from the place of final destination stated in the credit will usually occur where the place of final destination stated in the credit is a port or airport and the goods are then carried to an inland destination.

19.4 In cases where an agent signs on behalf of the carrier, the transport document must still show the name of the carrier. Yes or no?

Suggested answer:
In all cases where an agent signs for and on behalf of the carrier the carrier must be named. This may be by a specific mention of the carriers name or in the manner in which the document is signed i.e., ABC Co. Ltd as agents for the carrier, XYZ Ltd. It should be noted that the manner in which the carrier is identified and the manner in which a carrier, master or agent signs a transport document is unchanged from UCP 500 except for circumstances where an agent signs for and on behalf of the master. In this event, the name of the master need not be stated.

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Article 20 – Bill of Lading

20.1 What information should an "on board notation" contain?

Suggested answer:
An on board notation will normally consist of only a date, i.e., the date on which the goods were shipped on board. For other instances, there may be a need to include the name of the vessel and/or the port of loading. See sub-articles 20 (a) (ii) and (iii) for the circumstances that would require this additional information.

20.2 If the beneficiary presents a photocopy of a bill of lading marked original and signed by the carrier, should the bank accept it as an original bill of lading?

Suggested answer:
Provided the document meets the conditions of articles 17 and 20 it will be acceptable.

20.3 What is a Lash barge? What is a Trailer? Can you say something about how they are used in sea transport?

Suggested answer:
A LASH barge is a barge on which the goods are loaded. The barge is then 'lashed' to the ship, usually on the deck of the ship. The barge is then transported to the port of discharge where it is transferred into the water and continues its journey, by tug, to the final destination. A trailer is much the same in that the goods are loaded on the trailer and the trailer is loaded onto the vessel. At the port of discharge a lorry will connect with the trailer and deliver the goods to their destination.

20.4 A credit requires a bill of lading covering shipment from Rotterdam to Bangkok.

Bill of lading shows:

Place of Receipt	Amsterdam
Port of Loading	Rotterdam
Port of Loading	Bangkok
Place of Final Destination	Phuket

Is this a discrepancy?

Suggested answer:
The document checker would need to be satisfied that any reference to shipped on board relates to the vessel and Rotterdam port as opposed to any conveyance that may be transporting the goods for loading on to the vessel. A place of final destination different to the port of discharge would be acceptable.

20.5 Sub-article 20 (a) (iv) does not require the bill of lading to indicate the number of originals that have been issued (but ISBP publication 681 paragraph 93 does require this information). Can you refuse the documents for the discrepancy, "BL does not indicate the number of originals issued"?

Suggested answer:
There is no requirement as to a specific number of bills of lading that are to be issued. This is left to the carrier or their agent to decide unless a credit specifies the number to be presented. Sub-article 20 (a) (iv) requires that the full set as indicated on the bill of lading be presented unless the credit indicates disposal instructions for one or more of the original bills of lading. If the bill of lading does not indicate the number of original bills of lading that have been issued, a bank cannot determine compliance with sub-article 20 (a) (iv) and, therefore, the document would be

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discrepant. A discrepancy worded as stated in the query would be correct plus an original bill of lading presented to the bank whereas the credit requires all originals to be sent to the applicant.

20.6 Most bills of lading show the name of the carrier in the headline or top right hand quartile of the document, but do not specifically indicate themselves as the carrier. Is this acceptable or not?

Suggested answer:
No. There must be a clear indication on the bill of lading as to the name of the carrier. This may be by a specific statement indicating the name of the carrier i.e., 'XYZ Ltd the carrier' or by the manner in which it is signed i.e., 'For the carrier, XYZ Ltd', 'ABC Co. Ltd as agents for and on behalf of the carrier, XYZ Ltd'.

20.7 The bill of lading does not bear an original signature of the carrier or their agent, it is only printed out by computer with the company's name at the end of it. Can it be deemed as correctly signed?

Suggested answer:
No. The bill of lading must be signed according to one of the forms shown in the interpretation of signing in article 3 and in accordance with sub-article 20 (a) (i).

20.8 If goods are shipped by a pre-carriage vessel and transhipment is effected onto an ocean vessel how should we show the 2 vessels on the bill of lading (In the pre-carriage vessel field, in ocean vessel field or on board notation)?

Suggested answer:
The answer depends on whether the pre-carriage vessel or the ocean vessel is the vessel that is leaving the port of loading stated in the credit. If the pre-carriage vessel is the one departing from the port of loading, and it is shown in the pre-carriage field, then an on board notation is required indicating the port of loading stated in the credit, the name of the vessel and the date of shipment (see sub-article 20 (a) (iii)). If the pre-carriage (feeder) vessel leaving the port of loading stated in the credit is shown in the ocean vessel field and the ocean vessel is stated within the body of the credit i.e., transhipment will be effected at ABC port on vessel XYZ, then a pre-printed shipped on board notation would suffice or an on board notation showing the date of shipment.

20.9 Goods have been shipped on board a named vessel. If the bill of lading shows 2 vessels, should the on board notation only show the first vessel? Some issuing banks require the bill of lading to show the second (ocean vessel). How can we know the 2nd on board date whereas UCP requires "shipped on board a named vessel"?

Suggested answer:
The bill of lading must indicate that the goods have been shipped on board a named vessel at the port of loading stated in the credit (sub-article 20 (a) (ii)). If the bill of lading indicates a further vessel on which transhipment will be effected, during the carriage between the port of loading and the port of discharge there is no requirement for an on board notation to be added in respect of that vessel.

20.10 Can transhipment occur outside the stated carriage? Or, only between the port of loading and the port of discharge stated in the credit?

Suggested answer:
Yes, transhipment can occur outside the stated journey but the UCP is only concerned with transhipment that occurs between the ports of loading and discharge stated in the credit. The bill of lading could indicate, for example, that shipment has been effected from a place of receipt to the port of loading stated in the credit. Transhipment would then occur at the port of loading stated in the credit. This

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transhipment event is not covered by the UCP. An on board notation would be required in respect of the vessel departing the port of loading stated in the credit.

20.11 If a credit called for a bill of lading is it deemed a discrepancy if a charter party bill of lading or other transport document is presented if no allowance is made in the credit?

Suggested answer:
If the credit called for a bill of lading, a document, however named, would be acceptable provided it met the conditions of the credit and the content of article 20. However, if a charter party bill of lading was presented, without specific authorization in the credit, this would be considered to be a discrepancy – refer to sub-article 20 (a) (vi).

Article 21 – Non-Negotiable Sea Waybill

21.1 Could you explain more about the nature of the sea waybill?

Suggested answer:
The non-negotiable sea waybill was referenced in UCP, for the first time, in UCP 500. It was seen as the document that would bridge the gap between a paper bill of lading and an electronic one. It was also seen to serve the needs of importers and exporters where there was a short sea journey and a need arose for documentation to be available at the port of discharge when the vessel arrived. The non-negotiable sea waybill is common in trade between countries such as USA and Canada, but is not widely used. See question 21.2 and the answer for further information.

21.2 What is the basic difference between a non-negotiable sea waybill and a bill of lading?

Suggested answer:
A non-negotiable sea waybill is, as the title suggests, a non-negotiable document and therefore not a document of title. This type of document is not issued "to order" of a named party, it is straight consigned. The consignee is not normally required to present an original of the non-negotiable sea waybill in return for their goods.
A bill of lading is capable of being a document of title when issued "to order" of a named party. The "order party" is normally required to submit one of the original bills of lading in return for their goods.

21.3 What is to be understood by the words "shipped on board a named vessel at the port of loading stated in the credit" which appear in sub-article 21 (a) (ii)?

Suggested answer:
The non-negotiable sea waybill must appear to indicate that the goods have been shipped on board a named vessel at the port of loading stated in the credit. This issue only comes into doubt where there is a place of receipt stated in the non-negotiable sea waybill. In such an event, any statement of shipped on board must clearly relate to the named vessel and the port of loading stated in the credit. If there is doubt, then an on board notation will be required.

21.4 Should the address and telephone number of the applicant be stated as part of the notify party details on a non-negotiable sea waybill?

Suggested answer:
There is no requirement in UCP for the address or telephone number of the applicant to be included as part of the notify party details. However, this would be required where the credit so specified or when the applicant's address and contact details

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were shown on the non-negotiable sea waybill as consignee or notify party– in which event the details must match those in the credit.

Article 22 – Charter Party Bill of Lading

22.1 Can we induce the following from article 22?

1. Name of the master need not be mentioned in a charter party bill of lading?
2. If the owner or charterer, who signs the charter party bill of lading is an individual, his name need not be shown on the document?

Suggested answer:

1. The name of the master need not be stated when an agent signs for and on behalf of the master. Where a master signs in his or her own capacity he or she must declare their capacity.
2. The name of the owner or charterer, whether an individual or company, must be shown on the charter party bill of lading.

22.2 Is a bill of lading stating "Freight payable subject to charter party", a charter party bill of lading?

Suggested answer:

This is one of the ways in which a bill of lading would indicate that it is subject to a charter party.

22.3 A charter party bill of lading signed by a charterer and banks will not examine a charter party contract. How does the issuing bank know that the owner will accept to release the cargo against such a charter party bill of lading? Are there any risks for the applicant?

Suggested answer:

Where a charter party bill of lading is required, the applicant needs to make their own risk assessment of the shipper and the party that is contracting to carry the goods. It should be remembered that in an FOB consignment the applicant could be the charterer. Banks will accept documents that on their face comply with the terms and conditions of the credit. A bank that issues a credit calling for a charter party bill of lading and is looking to have an interest in the underlying goods will need to make an assessment of the parties involved prior to agreeing to issue such a credit. The risks associated with charter party bills of lading and the release of the cargo to which such document relates is outside the scope of the UCP.

Article 23 – Air Transport Document

23.1 Does an air waybill require the shipper's (beneficiary) signature?

Suggested answer:

No. This is not a requirement of the UCP. It would be most unusual for such a condition to be incorporated into the terms and conditions of a credit.

23.2 A credit requires shipment by airfreight from USA to Bangkok. But now, after moving to a new airport namely Suwarnaphumi airport, which is located in Samutprakarn province instead of Bangkok, documents are received showing airport of destination differing from that in the credit. Is this a discrepancy or not? What if the credit was issued before moving to the new airport, do we have to amend each credit?

Suggested answer:

Whilst the new airport has been built outside the city of Bangkok, it is still the airport that serves that city. This could be likened to Heathrow which is commonly referred

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to as London Airport. Heathrow is not in London it is located in a county on the outskirts of London. Air transport documents evidencing dispatch to Suwarnaphumi airport would be acceptable under a credit requiring shipment to Bangkok, but it must be recognised that there may be a number of banks that may not be aware of the significance of the name and it would be wise to refer to the name of the airport in future credits.

23.3 Do the words "goods have been accepted for carriage" mean

(a) goods received for carriage, or
(b) goods are acceptable for carriage?

Suggested answer:
For the goods to have been accepted for carriage they must have been received for carriage.

23.4 How is transhipment indicated in an air waybill?

Suggested answer:
Transhipment is normally indicated by reference to multiple flights and an indication of the airports at which such transhipment will occur. As there is not usually a specific field for transhipment information it is often quoted in the handling information field or flight details area.

23.5 Under article 24, it is stated "A road transport document ... or bear no wording indicating for whom the documents have been prepared". What about an air waybill? In practice, we have received some air waybill's which bear no marking indicating for whom the document has been prepared.

Suggested answer:
Sub-article 23 (a) (v) is quite specific in that the air waybill must be the 'original for consignor or shipper'. For a bank to accept any other form of document is not in line with the requirements of UCP and can place them at risk as the shipper may request the airline to alter the name of the consignee. By requesting the original for consignor or shipper, the details cannot be changed without submission of that document.

Article 24 – Road, Rail or Inland Waterway Transport Documents

24.1 Under sub-article 24 (a) (i), does it mean that any notation of receipt of the goods must be authenticated? If the authentication is made by the agent who signs the document, the agent must indicate his capacity? even if this has been mentioned when he signs the document?

Suggested answer:
Sub-article 24 (a) (i) requires that an indication of receipt be made by signature, stamp or notation. Any stamp or notation must bear evidence that it was made by the carrier or their agent. If the agent has declared his capacity elsewhere in the document, there is no need to repeat this in respect of the stamp or notation.

24.2 A credit indicated that shipment was to be effected by rail and required a railway receipt. When documents were presented to the issuing bank a multimodal transport document was presented instead. Can we accept this under the umbrella of "however named"?

Suggested answer:
From what is stated, the credit required dispatch by rail only. On this basis, a document titled multimodal transport document would not be accepted unless it only

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covered dispatch from the railway station of departure to the railway station of destination as stated in the credit. On this basis, the document would be accepted under the doctrine of "however named". If there were any indication that another mode of transport was used during the journey between the two railway stations, the document would not meet the requirements of the credit and would be discrepant.

24.3 If I require goods to be dispatched by road and for transhipment not to occur, can I completely prohibit transhipment? Sub-article 24 (e) (ii) seems to allow transhipment even if prohibited by the credit.

Suggested answer:
A prohibition of transhipment can be achieved by the credit stating that transhipment is prohibited and a clause in the additional conditions field stating that sub-article 24 (e) (ii) does not apply or is excluded.

Article 25 – Courier Receipt, Post Receipt or Certificate of Posting

25.1 A credit required a non-negotiable set of documents to be sent to the applicant and a courier receipt was to accompany the documents. Should the courier receipt be checked according to article 25?

Suggested answer:
No. Article 25 covers the despatch of goods by courier service not the sending of documents to an applicant.

25.2 A document is presented to us entitled "courier waybill" will this be acceptable under a credit calling for a courier receipt?

Suggested answer:
Yes. Sub-article 25 (a) states a courier receipt, "however named" will be accepted. A courier waybill will fall into this category.

25.3 The courier receipt is not manually signed but, in line with current industry standards, it bears a bar code as evidence of receipt and for tracking purposes. There is no place for a signature to be added. Would this form of document be acceptable?

Suggested answer:
Article 3 provides an interpretation of signing. Within that interpretation is reference to "any other mechanical or electronic method of authentication". This would cover a document that is 'signed' by means of a bar code especially where the document itself does not have a place for a signature.

Article 26 – "On Deck", "Shipper's Load and Count", "Said by Shipper to Contain" and Charges Additional to Freight

26.1 A transport document stipulated, the goods are or will be loaded on deck – we understand that this is not acceptable. Another transport document stipulated the goods may be loaded on deck, is this ok?

Suggested answer:
Banks are concerned that there are no clauses on a bill of lading indicating that goods are or will be loaded on deck. A clause stating that the goods may be loaded on deck is not a statement that this will occur and is therefore acceptable.

26.2 A bill of lading includes a field with the pre-printed wording "particulars furnished by the shipper". In this field there is a goods description plus a freight paid stamp and

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an on board notation. Can it be deemed that the freight paid stamp and on board notation were "furnished by the shipper" and not the carrier or their agent?

Suggested answer:
The pre-printed wording needs to be observed in the context of the bill of lading prior to the insertion of any data. The wording relates to the heading in that particular field, i.e., goods description and any packing details. It does not relate to other forms of data that may be stated later e.g., indications of freight paid or collect, on board notation or statements of goods being loaded on deck.

26.3 A credit is silent with regard to excluding sub-article 26 (c), does this mean that we may accept a transport document that evidences costs relating to terminal handling and container removal and cleaning etc.?

Suggested answer:
Yes. If an issuing bank (or the applicant) only wishes to see that freight charges are to be collected then an exclusion of the rule must be made in the credit.

Article 27 – Clean Transport Document

27.1 If a credit called for a 'clean on board' bill of lading, but the transport document states 'shipped on board' does this comply with the credit? The bill of lading does not contain any remarks regarding the goods or their packaging.

Suggested answer:
Yes. It should be noted that most carriers and their agents will not add the word "clean" to a transport document as such terminology has a different meaning to the shipping industry than it does under UCP.

27.2 A bill of lading bears the words "clean on board" but the word "clean" has been deleted and this deletion has been authenticated by the agent of the carrier. Does this make the document discrepant? Can it be deemed to be 'unclean'?

Suggested answer:
No. As mentioned in question 27.1, most carriers and their agents will not allow the word "clean" to appear on the transport document. The fact that the word 'clean' was added and then deleted does not make the document unclean unless it contains a clause or notation that expressly declares a defective condition of the goods or their packaging.

27.3 Can a bill of lading marked "packaging may not be suitable for sea travel" be considered as an unclean document?

Suggested answer:
No. This does not expressly declare a defective condition of the packaging. At the time of shipment the packaging must have been suitable otherwise a clause or notation would have been made. The clause is covering the carrier in the event of something happening during the voyage, not something that will necessarily happen.

Article 28 – Insurance Document and Coverage

28.1 A credit stipulated "insurance covering all risks". The insurance policy shows "all risks excluding war risks", is this okay?

Suggested answer:
Yes. If the credit requires insurance covering "all risks" rather than specifically named risks, then an insurance document evidencing any 'all risks' notation or clause will be accepted without regard to any risks not covered.

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28.2 If the insurance document does not indicate the number of originals issued, should the bank accept the insurance document as presented as being the sole original?

Suggested answer:
Yes. Only where the insurance document indicates that it has been issued in more than one original or where it refers to a document titled "duplicate" or similar being capable of submission in the event of a claim, must all the originals or documents in the set be presented.

28.3 Please explain sub-articles 28 (g) & (h) in relation to "without regard to any risks that are not covered" and "without regard to any risks stated to be excluded"?

Suggested answer:
Sub-articles 28 (g) and (h) are effectively 'penalty' articles. If the issuing bank is not clear as to the risks that are to be covered, the beneficiary is entitled to present (i) an insurance document without regard to insurance risks that are not covered (sub-article 28 (g) – where the credit references insurance covering 'usual' or 'customary' risks) and (ii) an insurance document that bears any all risks notation without regard to any risks that are excluded (sub-article 28 (h) – where the credit references insurance covering 'all risks'). An issuing bank should avoid using the terminology mentioned in sub-articles 28 (g) and (h) and be specific as to the risks that are to be covered.

28.4 A credit states "insurance policy issued to order of issuing bank". Who should be the name of the insured?

Suggested answer:
The insurance document should show the assured as the issuing bank. However, an insurance document issued in favour of 'bearer' would also be acceptable. It should be remembered that an insurance document is not like a bill of lading in that it may be endorsed continually to different parties.

Article 29 – Extension of Expiry Date or Last Day for Presentation

29.1 In relation to sub-article 29 (b) many banks print the sentence "all terms and conditions are complied with" in their covering schedule (despite the fact that many presentations contain discrepancies) and the date of the covering schedule is often much later than the expiry date (i.e., in some case more than 1 or 2 months). Can an issuing bank reject the documents for the reason of late presentation despite the presenting banks declaration?

Suggested answer:
This is not really an issue that is covered by sub-article 29 (b). If a schedule is dated some time after the expiry date of the credit – especially 1 or 2 months – the issuing bank would be entitled to seek an explanation for the delay in sending the documents. Hopefully, the wording now included in article 15 will stop the practice of banks holding on to documents for a period of time.

29.2 If the covering schedule is dated after the expiry date is it necessary to identify that the documents were presented within the validity of the credit?

Suggested answer:
Obviously, the beneficiary could present documents to a nominated bank up to and including the expiry date. Given that the nominated bank has a maximum of five banking days in which to examine the documents, it is conceivable that the conclusion of the examination and the sending of documents would, in such circumstances, occur after the expiry date. Most nominated banks will indicate in

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their schedule that documents were received within the expiry date to cover this issue or that all terms and conditions of the credit were complied with. An issuing bank may seek clarification if either of these types of statement is missing from the covering schedule, but having received a confirmation of receipt of the documents within the expiry date should proceed with the processing of the transaction.

29.3 Is it sufficient to indicate on the covering letter that the documents are compliant with the terms and conditions of the credit?

Suggested answer:
See comments under questions 29.1 and 29.2. A statement that all terms and conditions are complied with can cover a situation of documents being sent after the expiry date of the credit i.e., to signify presentation within the stated expiry date. However, in general terms, the statement has no value as the issuing bank is still required to make their own decision as to whether or not the documents comply. This is irrespective of any statement that may be made by a nominated bank as to their findings.

29.4 According to sub-article 29 (b) a covering schedule must state that the presentation was made within the time limits extended in accordance with sub-article 29 (a). Must we indicate the sentence in accordance with sub-article 29 (a)?

Suggested answer:
That is the requirement of sub-article 29 (b). However, it is recognised that banks will also signify compliance by a statement that all terms and conditions were complied with.

Article 30 – Tolerance in Credit Amount, Quantity and Unit Prices

30.1 In a SWIFT MT700 advice of a credit, field 39a shows a tolerance of 02/02 in relation to the credit amount. Partial shipments are not allowed. If documents are presented for a value more than 2% under the credit value but within 5%, is it a discrepancy?

Suggested answer:
The credit has specified the tolerance that is to apply to the transaction. This is up to 2% less or 2% more than the value of the credit. The drawing of the beneficiary must fall within the stated tolerances. The 5% tolerance stated in sub-article 30 (b) does not apply where the credit is stated to be subject to a tolerance.

30.2 For the purpose of sub-article 30 (b) what types of quantities or goods are considered as individual items or packing units?

Suggested answer:
1000 Computers, 1500 Tyres, 10,000 Pens would be types of individual items. 500 boxes or 50 pallets would be types of packing units. 5,000MT of Rice, 10,000 Gallons of oil would not be types of packing units or individual items.

30.3 Can you provide an example of how sub-article 30 (c) would be applied?

Suggested answer:
The credit indicates a breakdown of the CIF value i.e., FOB cost USD1000, Freight USD500, Insurance USD250 = total CIF USD1750.00 At this point in time, the freight and insurance costs are estimated values.

The invoice shows FOB cost USD1000, Freight USD460 and Insurance USD240 = total USD1700.00 At this point , the freight and insurance costs are actual costs and are less than the estimated costs. The drawing is made for the actual costs and the FOB value shows that the full value of the goods has been shipped.

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Article 31 – Partial Drawings or Shipments

31.1 A credit states that partial shipments are allowed.
Goods quantity = 100 pieces Credit amount = USD1000.00

1st shipment effected for 60 pieces amount USD650.00
2nd shipment effected for 40 pieces amount USD200.00

Is it correct that the 2nd shipment will be discrepant as the amount is under drawn (even though quantity of 100 pieces was completely shipped)?

Suggested answer:
Although the credit allows for partial shipments and two shipments have been made for the total quantity of the goods, the value that has been drawn is below 5% of the credit amount and would be discrepant not under this article but sub-article 30 (c).

31.2 A credit stipulates that partial shipments are not allowed. The beneficiary presents five sets of charter party bills of lading. The contents of the bills of lading are almost identical, except the quantity and date. On the bills of lading the vessel, port of loading and port of discharge are the same but the shipped on board date varies over a period of 3 or 4 days. Is this a partial shipment or not?

Suggested answer:
No. The goods are on the same vessel, for the same journey, voyage and destination. This is not a partial shipment provided the quantity evidenced on the five sets of charter party bills of lading meets the requirements of the credit and article 31.

31.3 A presentation is made under a credit that prohibits part shipment. Included are three sets of bills of lading dated 10 July, 11 July and 12 July covering the full shipment of goods. Which date is taken as the date of shipment?

Suggested answer:
12 July. The shipment was complete once the last quantity of goods was loaded. This date will be taken as the date of shipment and would be considered for any calculation of a maturity date linked to the date of shipment.

Article 32 – Instalment Drawings or Shipments

32.1 If a credit indicates shipment by instalment and allows partial shipment, can each instalment allow for partial shipments?

Suggested answer:
Yes, partial shipments may be effected within each instalment. All shipments for each instalment must be completed within the specified schedule.

32.2 According to article 32, if a beneficiary does not ship the goods within the period allowed for an instalment, the credit will cease to be available for that and any subsequent instalment. If an instalment is missed and the beneficiary requests the applicant to amend the credit in respect of the shipment schedule, is the credit still available for that and any subsequent instalment?

Suggested answer:
Yes, the applicant may request that the issuing bank issue an amendment to reinstate the schedule and the credit.

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33.3 A credit stipulates goods of type A and B.

First period for shipment	23-25 July
Second period for shipment	01-10 August

The beneficiary presents documents for the first shipment evidencing shipment on July 23, 2007 covering all of type B and some of type A.

The beneficiary presents documents for the second shipment evidencing shipment on August 6, 2007 covering the remainder of A and none of B.

Is this permitted as the period only restricts the shipment date?

Suggested answer:
The credit did not specify when the types of goods were to be shipped. The first shipment was made within the dates specified for the first shipment and therefore met the conditions of the shipment schedule. The second shipment, which completed the shipment of both types of goods, was also effected within the period allocated for the second shipment.

Article 33 – Hours of Presentation

33.1 Banks have no obligation to accept a presentation outside of their banking hours. Does this mean before 11.59pm?

Suggested answer:
Banking hours means the hours that the bank will advertise as being their hours for normal banking business and/or presentation of documents. This would, in most cases, be no later than 5:00pm on a banking day.

33.2 If a courier company seeks to deliver documents outside our banking hours are we obliged to accept them?

Suggested answer:
No. The rule is quite clear that a bank is not obliged to accept a presentation outside their banking hours. Care should be taken, however, when documents are signed for at a time which is beyond normal working hours. This may be taken as being a modification of the rule and an acceptance of the bank for the presentation to be considered to have been made that day.

33.3 Can we advise our working hours on our covering advices / issuance of a credit?

Suggested answer:
Yes. There is nothing to stop a bank from including such data within its advices.

Article 34 – Disclaimer on Effectiveness of Documents

34.1 Is a bank responsible for carrying out extensive mathematical calculations that appear in packing or weight lists?

Suggested answer:
No, this is made quite clear in ISBP publication 681 paragraph 24. The question is really what is the definition of "extensive"? The guidance should be that unless a document checker is capable of making the calculation in their head, thereby requiring a calculator to conclude the exercise, it is extensive.

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34.2 Is it part of a bank's responsibility to ensure that for documents issued by parties other than the beneficiary, that they have been issued by the stated company and signed by an authorized person of that company?

Suggested answer:
Banks have no responsibility with regard to the creation and signing of documents or the data that appears therein. Sub-article 14 (a) and article 34 make it clear that banks determine, based on the documents alone, whether or not, on their face, the documents comply with the terms and conditions of a credit.

34.3 Are banks required to ensure that the vessel stated in the bill of lading actually sailed from the port of loading and on the date stated as being the shipped on board date?

Suggested answer:
For the same reasons as stated in question 34.2, no. It is recognised that some banks utilise the services of the ICC's International Maritime Bureau to review certain bills of lading to confirm that the vessel exists, it sailed from the port stated in the bill of lading and that it is capable of carrying the goods and the quantity stated. This independent review is not covered or required by the UCP.

Article 35 – Disclaimer on Transmission and Translation

35.1 Where the documents have been lost in transit between the nominated bank and the issuing bank, which bank is responsible?

Suggested answer:
Provided the nominated bank has acted on its nomination by examining the documents and determining compliance (whether or not they have honoured or negotiated) and sent the documents to the issuing bank in the manner that may be described in the credit (i.e., in 2 mails, by courier etc.) then the issuing bank is bound to honour if the documents did comply.

35.2 Does the issuing bank undertake to honour where the documents are lost in transit? If yes, honour against a new set of documents including new set of original bills of lading or honour against photocopies of the original set of documents?

Suggested answer:
Subject to the conditions mentioned in the answer to question 35.1, the issuing bank must honour. The nominated bank, and the beneficiary, is under no obligation to present a fresh set of original documents. The issuing bank, however, will be entitled to request copies of the documents so that they may ascertain that the documents did comply at the time they were presented to the nominated bank.

35.3 It is presumed that documents must be sent according to the requirements stated in a credit. Does this mean that if a credit stated "forward the documents in 2 lots", the nominated bank must send in 2 lots? If a credit stated "send by DHL courier", the nominated bank must use DHL? Is this correct?

Suggested answer:
Yes. The nominated bank must comply with any instructions in the credit with regard to the disposal of documents. Failure to comply may place their right to reimbursement in jeopardy. A number of banks have policies that state documents are sent in one lot by courier irrespective of the credit requirements. This is a business decision of the bank concerned.

35.4 Can the issuing bank stipulate in a credit that the disclaimer articles of the UCP are excluded? For example: adding the words "Article 35 of UCP 600 is not applicable".

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Suggested answer:
An issuing bank would be unwise to exclude the disclaimer clauses in UCP 600. Articles 34, 35, 36 and 37 offer basic protection to banks when receiving and examining documents. Reference is made specifically to article 35 in the query. Presumably this is due to the new wording that has been inserted covering loss of documents in transit between a nominated bank and a confirming or issuing bank. To exclude article 35 would mean that a nominated bank, that acted under its nomination (a nomination that was made by the issuing bank), would not be protected in the event that documents are lost in transit even if it followed the credit to the letter in the examination of the documents and the disposal thereof. It would be inconceivable that a nominated bank would be willing to honour or negotiate without the protection of article 35. It should be noted that whilst the wording in article 35 is new to the UCP, the position would also prevail under previous revisions of the UCP.

Article 36 – Force Majeure

36.1 If complying documents are presented to a nominated or confirming bank and the issuing bank stops business due to an Act of God, does the issuing bank have no liability to reimburse the nominated or confirming bank?

Suggested answer:
If complying documents are presented to a confirming bank, the confirming bank must honour or negotiate. If complying documents are presented to a nominated bank that has not added its confirmation, the nominated bank is under no obligation to honour or negotiate. An issuing bank would be required to honour under their credit when they re-opened as the credit was available at the counters of a nominated or confirming bank and documents were presented within the expiry of the credit. Only where the documents were sent directly to the issuing bank, by the beneficiary or other presenter, and delivery could not happen as they were closed due to a force majeure event and the credit expired during the time the bank had closed would they have no obligation to honour.

36.2 If a credit expires with a nominated bank on say, July 30, and the beneficiary tries to present on that day but they are unable to do so due to an event beyond the control of the bank, what are the options for the beneficiary?

Suggested answer:
The beneficiary must either present the documents to the issuing bank or face the risk that they lose the undertaking of the issuing bank.

36.3 Same question as above, but if a credit is available with any bank and the bank to which the beneficiary chooses to present documents is closed for business due to a force majeure event, what are the options for the beneficiary?

Suggested answer:
As the credit is available with any bank, the beneficiary will need to present the documents to another bank in order to satisfy the requirement of the documents being presented within the expiry date.

Article 37 – Disclaimer for Acts of an Instructed Party

37.1 Bank A disregards a clause in a credit that they are to collect their charges in advance and releases the credit to the beneficiary without receiving their advising fee. If Bank A cannot collect their advising fee from the beneficiary can they claim the charge from the issuing bank?

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Suggested answer:
Ideally, the advising bank should identify that the issuing bank has included such a clause and revert to them for removal or seek other instructions. By advising the credit, with the clause, it could be understood that should the beneficiary not pay the fee or not present documents thereby allowing the fee to be collected/deducted, that the advising bank is willing to take that risk.

37.2 A nominated bank receives a presentation of documents and effects honour thereunder, deducting certain fees. They realise a short while later that they have forgotten to deduct their advising fee. Are they able to claim from the issuing bank citing sub-article 37 (c)?

Suggested answer:
No. The nominated bank had an opportunity to deduct the fees from the presentation and failed to do so. They are not afforded any protection under sub-article 37 (c) for the fees that they failed to collect from a presentation that was made to them.

37.3 The applicant requests that a credit be advised through a certain bank i.e., the bankers of the beneficiary. The issuing bank is not in correspondent banking relationship with that bank and therefore routes the credit through their preferred correspondent requesting that they onward advise through the named bank of the beneficiary. The correspondent fails to act according to the instructions of the issuing bank, is the issuing bank or advising bank liable in this situation?

Suggested answer:
No. Although the applicant requested the routing through a particular bank, the issuing bank was unable to complete this as they had no direct relationship with that bank. However, the issuing bank should have brought to the attention of the applicant that they were routing through another correspondent bank.

Article 38 – Transferable Credits

38.1 There is a separate statement/document issued by the ICC concerning transferred credits. Is this still valid under UCP 600?

Suggested answer:
The document entitled "Transferable Credits and the UCP 500" (dated 30 October 2002) was a compilation of the opinions given by the ICC in respect of transferable credits. This document will be applicable to UCP 600 to the extent the content of the respective sub-articles has not changed and the circumstances stated in the query to which the opinion was offered are covered in a similar manner in UCP 600.

38.2 A credit is available with any bank. Can the issuing bank specify that any bank can transfer the credit?

Suggested answer:
It is possible to allow a credit to be transferred by any bank, but probably not advisable. By restricting any transfer to a named transferring bank it offers better control over the transaction for an issuing bank.

38.3 If the 1st beneficiary transfers part of the original credit to a 2nd beneficiary but later, the 1st beneficiary wishes to cancel that credit, should they request the transfer to another 2nd beneficiary or re-transfer it back to them first? Which one is appropriate?

Suggested answer:
If the transferred credit is still valid then the 2nd beneficiary must agree to its cancellation. If the transferred credit has expired and it is clear that no presentation

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will be made by the 2nd beneficiary, then the 1st beneficiary may provide instructions to the transferring bank in respect of any further transfer.

38.4 The transferred credit must accurately reflect the terms and conditions of the credit, including confirmation. Does this mean the transferring bank transfers the credit indicating that the credit is to be confirmed by a bank as stated in the original credit or indicating that the transferring bank has added its confirmation to the transferred credit as per the original credit?

Suggested answer:
The reference to "including confirmation" refers to the confirmation that was added to the original credit. If the original credit is confirmed, the transferred credit is to be confirmed by the same bank. It is expected that a bank that confirms a credit will also insist on being the transferring bank.

38.5 If a credit is fully transferred and the transferring bank will not be substituting the documents of the 1st beneficiary for those of the 2nd beneficiary, can the 2nd beneficiary present the documents directly to the issuing bank?

Suggested answer:
Sub-article 38 (k) requires that the documents be sent to the transferring bank. In circumstances where there is a 100% transfer or where no substitution of documents is to occur, a transferring bank that has not confirmed the transfer may, in its advice of transfer, indicate that documents may be sent direct to the issuing bank, under advice to the issuing bank.

38.6 Can the transferring bank amend the expiry place?

Suggested answer:
Yes. The place of honour or negotiation may be changed to that of the place to which the credit has been transferred. This is covered by sub-article 38 (j).

38.7 If complying documents are presented by the 2nd beneficiary, including a certificate of origin on which the 2nd beneficiary's invoice no. and date are indicated, then the 1st beneficiary will substitute their invoice with, of course different invoice no. and date. Must the 1st beneficiary correct their invoice no. and date to match those on the certificate of origin?

Suggested answer:
No. This is a feature of a transferred credit and one that must be appreciated by the issuing bank and the applicant. There is no requirement for the 1st beneficiary to present a substitute certificate of origin or change the invoice number and date on their invoice.

38.8 How do you define 'first demand'? How long should it be?

Suggested answer:
First demand will depend on the structure of the transfer. Where the period for presentation has been curtailed, it may be possible to use the difference between the period stated in the original credit and that stated in the transferred credit as the 'demand' period. In other circumstances, banks will usually allow between 24 and 48 hours given that the 1st beneficiary is only required to present their invoices and draft, if any.

38.9 Could the 1st beneficiary substitute documents (other than the invoice and draft) for those of the 2nd beneficiary?

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Suggested answer:
Sub-article 38 (h) provides for the 1st beneficiary to substitute their own invoices and drafts, if any. Substitution of any other documents will be with the agreement of the transferring bank. The transferring bank is under no obligation to allow substitution of any other documents.

38.10 If the transferring bank is silent in the transferred credit, must the transferring bank check the 2nd beneficiary's documents and determine whether the documents comply?

Suggested answer:
If a transferred credit is advised to a 2nd beneficiary, indicating that it is available by honour or negotiation, it is reasonable to expect that the 2nd beneficiary will assume that the transferring bank will examine their documents. If the transferring bank has not added its confirmation to the transferred credit and they are only willing to substitute the documents of the 1st beneficiary and forward the documents to the issuing bank, then it would be good banking practice to indicate this in the advice of the transferred credit. Inclusion of the manner in which the transferring bank will handle documents will resolve any issues at a later date and place the 2nd beneficiary on notice of exactly the role that the transferring bank is willing to take.

38.11 When issuing a transferable credit, is it necessary to state "third party documents allowed"?

Suggested answer:
As explained in ISBP publication 681 paragraph 21 (c) "third party documents acceptable" has no meaning. Sub-article 14 (f) allows for documents other than commercial invoices, transport documents and insurance documents to be issued by a party other than the beneficiary (where a credit is silent as to the name of an issuer). Similarly, sub-article 14 (k) allows for the shipper or consignor on any document to be a party other than the beneficiary. If terminology such as "third party documents allowed" is used, there must be some context added as to how it is to be interpreted.

38.12 Sub-article 38 (c) stipulates that all charges incurred in respect of a transfer must be paid by the 1st beneficiary, is this right?

Suggested answer:
The usual stance is that the 1st beneficiary will pay the costs associated with transferring a credit. The rule reflects that should the 1st beneficiary require that the fees be paid by the 2nd beneficiary then this must be agreed at the time of requesting the transfer. As stated in sub-article 38 (a), a transferring bank is under no obligation to transfer except to the extent and manner expressly consented to by that bank. This would include transferring the credit where the fees are to be collected from the 2nd beneficiary.

38.13 Under sub-article 38 (i), if the 1st beneficiary fails to correct discrepant documents that they have presented, the transferring bank may present the documents of the 2nd beneficiary to the issuing bank. If so, the claim of the transferring bank is for the value of the 2nd beneficiary's documents. Is this correct? If it is, how can the 1st beneficiary get his difference? Further, if the transferring bank presents the documents of the 2nd beneficiary to the issuing bank, it will cause another discrepancy such as underdrawn. How should this be handled?

Suggested answer:
If the 1st beneficiary fails to substitute on first demand or having substituted does not, on first demand, correct discrepancies that were found in their presentation (which made the entire presentation discrepant), the transferring bank may forward

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to the issuing bank the compliant documents presented by the 2nd beneficiary. Failure of the 1st beneficiary to substitute or to correct discrepant documents on first demand is the risk that an issuing bank and applicant take in issuing a transferable credit. The issuing bank (and applicant) will be required to accept an invoice that may be addressed to a party other than the applicant (i.e., to the 1st beneficiary), show different unit prices to those in the credit and may be for an amount that is less than the value of the credit and outside any tolerances allowed by sub-articles 30 (b) and (c). If the 1st beneficiary fails to substitute or provide replacement documents, they forego the right under the credit to receive any difference between their invoice and that of the 2nd beneficiary. If they wish to seek payment of this amount, they would be required to seek settlement from the applicant, outside of the credit.

When applicants request their issuing bank to issue a transferable credit, they need to consider the potential risks in the event that a 1st beneficiary fails to substitute documents.

Article 39 – Assignment of Proceeds

39.1 A negotiating bank (Bank A) requests the issuing bank to confirm their agreement to another party (Bank B) whereby Bank A have transferred the right of payment at maturity under a credit to Bank B. Must the issuing bank comply with the negotiating bank's request?

Suggested answer:
An assignment of proceeds and the effect thereof is governed by the applicable law. In most jurisdictions, the bank is required to take note of the assignment between an assignor and assignee. From the viewpoint of the issuing bank effecting settlement at maturity to Bank B, as opposed to Bank A, there should not be a problem with the issuing bank agreeing to such a request.

39.2 Do banks get involved with assignments?

Suggested answer:
Whilst not as common as transferable credits, assignment of proceeds can happen under letter of credit transactions. Assignment of proceeds generally occurs where a transferable credit would not suit the purpose for which the assignment has been issued or where the assignee does not wish to act under a transferable credit. Assignment of proceeds are generally seen in transactions such as: assigning proceeds to another bank that has purchased an accepted draft or deferred payment undertaking, where payment is to be made for the cost of freight or payment for the cost of goods supplied or services, performance provided. The two parties (assignor and assignee) will agree the assignment of proceeds and request the bank to acknowledge receipt of the instructions and to indicate to the assignee that when documents are presented to the bank, and honour or negotiation occurs thereunder, that the specified amount will be paid to the assignee. The balance, if any, will be paid to the assignor.

39.3 Must the bank that gives a notice of assignment endorse the original credit?

Suggested answer:
There is no requirement for this to occur but a number of banks do complete such an endorsement. Banks will usually cover their position by sending a separate notice to the assignee in which it is stated that the assignment will only be fulfilled if documents are presented to that bank, that the documents comply with the credit and that honour or negotiation occurs. In this way, the bank protects itself should there be (a) no presentation, (b) a presentation is made but is discrepant and the applicant refuses to provide a waiver, and (c) that the documents comply but for one reason or another honour or negotiation does not occur.

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General Queries

Gen1 What is the difference between a credit available by 'deferred payment', 'acceptance' and 'negotiation'?

Suggested answer:
Under a deferred payment credit there is no draft called for and payment is due on the maturity date. Under an acceptance credit, a draft is required and is drawn on the bank which is required to accept it e.g., the nominated bank, and payment is due on the maturity date. Under a negotiation credit, it may be available at sight or usance and drafts may or may not be required. For a sight or usance negotiation credit, the beneficiary may receive the funds in advance of the issuing bank honouring under the credit or the nominated bank may agree to advance on a specific date e.g., 10 days after sending documents for a sight credit or on the due date for a usance credit.

Gen2 The credit requires a bill of lading to indicate freight collect, but the bill of lading shows freight payable at destination. Is this acceptable?

Suggested answer:
Freight collect and freight payable at destination have the same effect and are interchangeable.

Gen3 If a credit is available with a nominated bank by acceptance "30 days after sight", does this mean 30 days after the nominated bank's sight of the documents or the issuing bank's sight?

Suggested answer:
If a credit is available with a nominated bank by acceptance, the draft will be drawn on them. Therefore, 30 days after sight will be 30 days after the date of receipt of documents by the nominated bank.

Gen4 Does an on board notation need to be authenticated?

Suggested answer:
No. The requirement for an on board notation to be authenticated was removed at the time of the revision of UCP 400 and the same stance has been taken in UCP 600.

Gen5 Shipment date is considered to be which date – the on board date or the issuance date of the transport document?

Suggested answer:
The shipment date for the respective types of transport is specified in each of the transport articles of UCP 600 (articles 19-25). In respect of a bill of lading, the on board date will always be considered to be the date of shipment – irrespective of whether such date is before or after the date of issuance of the bill of lading.

Gen6 After a credit expires, can it be amended?

Suggested answer:
Yes, but it would depend on how long after the expiry. If it is within a month or so, then most banks will allow for the extension to occur. Beyond that, banks may have archived their files and request the re-issuance of the credit incorporating the new expiry and shipment dates.

Gen7 Should a document for a remaining 10% balance i.e., against a certificate of completion, be presented within 21 days after shipment?

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Suggested answer:
No. Sub-article 14 (c) refers to the presentation period relating to a presentation that includes an original transport document. If the presentation only consists of a certificate of completion or similar document, then it must be presented within the expiry date.

Gen8 If a credit is silent concerning transhipment, is transhipment allowed?

Suggested answer:
Yes. Transhipment is deemed to be allowed unless the credit specifically prohibits this action.

Gen9 Credit states "All documents must show the credit number". Does "All documents" include the draft?

Suggested answer:
This may well be the intention of the issuing bank but, under a SWIFT issued credit, it could be argued that there is a specific field (46A) entitled "Documents required" and a requirement for a draft does not appear in this field (it has its own fields 42C and 42a). On this basis, a requirement for "all documents to bear the credit number" or other specific data is confined to those documents appearing in field 46A.

Gen10 ISBP publication 681 paragraph 13 says: Transport documents, insurance documents and the draft must be dated even if the credit does not expressly require such dating. What does "be dated" mean? Does it mean they must have an issuance date?

Suggested answer:
For these documents it would mean a date of issuance. However, it should be remembered that an insurance document may bear a different date indicating the date on which the insurance cover became effective. Also, a transport document may additionally indicate an on board notation or a flight stamp.

Gen11 Please comment about documents sent in two mails. How to check them? How to send the refusal notice? From which mail is the checking time calculated?

Suggested answer:
Where an issuing bank requires documents to be sent in two mails, the nominated bank or presenter should ensure that at least one of each of the required documents is included in the first mailing. The issuing bank would then be required to review the documents based on the documents received in the first mailing on the assumption that further originals or copies of the documents, that will be received in the second mailing, will be the same as those in the first mailing. The issuing bank must make any refusal notice based on the data in the documents of the first mailing. Such a refusal will not refer to the absence of the documents that are following in a subsequent mailing.

Gen12 Where an issuing bank received documents and found that some documents were missing, the nominating bank confirmed that the stated documents were included with their schedule. How should this matter be settled?

Suggested answer:
This is probably one of the hardest questions to answer under the UCP. At the end of the day, one of the banks is not telling the whole truth. The nominated bank either did or did not send all the documents or the issuing bank did or did not receive all the documents. There is no positive proof that can be made available from either party. These types of issues are usually resolved via the correspondent banking relationship or the nominated bank providing additional documents.

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Gen13 If a credit did not indicate a "notify party" in respect of a transport document, can the bill of lading show a notify party in a different country than the discharge port?

Suggested answer:
ISBP publication 681, as an example in paragraph 103, states that if there is no notify party stated in the credit the box may remain blank or be completed in any manner. Completed in any manner would include a notify party that is located in a different country to the port of discharge.

Gen14 If a bill of lading or other documents bear corrections in, say, more than 3 places is it discrepant? What should we do if the issuing bank refuses the documents stating it is an international standard banking practice to reject such documents?

Suggested answer:
Provided that the corrections are properly authenticated by the issuer or agent of the issuer, then any number of corrections is permissible in any document. Obviously, if there are too many, the issuer may decide to issue a replacement or new document.

Gen15 Issuing bank rejects documents. The beneficiary corrects them and presents within the presentation period and expiry date. The documents now comply with the credit terms. Does the issuing bank have the right to deduct their discrepancy fee?

Suggested answer:
A discrepancy fee is generally charged to handle the processing of discrepant documents. Where the issuing bank has provided a refusal notice it is entitled to charge a discrepancy fee if this is in line with their usual terms or tariff.

Gen16 If the beneficiary receives a deferred payment credit which requires presentation of a draft, what should they do? What should the nominated bank do?

Suggested answer:
The credit should be amended to either remove the requirement for presentation of a draft or to change the availability from a deferred payment credit to an acceptance or negotiation credit.

Gen17 Why do some issuing banks not allow negotiation under reserve?

Suggested answer:
The act of negotiation under reserve is an arrangement between the nominated bank and the beneficiary. It has nothing to do with the issuing bank. When the issuing bank receives the presentation they must examine it and determine whether or not they consider it to be complying. If not, they provide a notice of refusal and the nominated bank must decide whether or not to claim under the reserve arrangement. A number of issuing banks include the condition in their credits where the nominated bank is authorised to debit the account of the issuing bank or claim from a reimbursing bank. By paying under reserve, the nominated bank debits the account of the issuing bank or claims reimbursement and pays the beneficiary. When the issuing bank refuses, the nominated bank either delays refunding the amount or refuses to do so until the discrepancies are resolved. By including the condition, the issuing bank seeks to avoid the situation where their account is debited before any discrepant documents are approved.

Gen18 A credit stipulated, in field 47A, "Shipment to be effected on FCL/FCL basis". Is it necessary for the bill of lading to indicate shipment effected on FCL/FCL basis?

Suggested answer:
Ideally it should reflect the conditions stated in the credit but provided it did not state LCL or similar terminology it would be acceptable. It should be noted that the manner

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in which the condition is stated in the query, it is a non-documentary condition and should be disregarded.

Gen19 Can an endorsement made on the front of the document be regarded as an endorsement?

Suggested answer:
There is no requirement that an endorsement must be made on the reverse or back side of a document. An endorsement on the front of a document would have equal effect.

Gen20 A credit calls for signed invoice in 2 copies. The beneficiary presented 2 invoices, but the signature on the 2 invoices was different from each other, do the invoices comply with the credit terms?

Suggested answer:
The requirement under the credit is for the invoice to be signed. The fact that the 2 invoices are signed by different individuals does not make the document discrepant.

Gen21 What is the interpretation or definition of "authentication"? Is it a rubber correction chop with signature by the issuer or neither?

Suggested answer:
Alterations or corrections on documents issued by the beneficiary need not be authenticated. Alterations or corrections on documents issued by parties other than the beneficiary must evidence that they have been completed by the issuer of the document or a named agent for the issuer. The authentication also needs to bear a signature or initial of the person making the alteration or correction. Refer to ISBP publication 681 paragraphs 9-12.

Whilst every effort has been made to ensure that the answers given under "suggested answer" are completely accurate, the details of a credit and the circumstances under which an issue may arise can affect the application of that response. The authors cannot accept any legal responsibility whatsoever for consequences that may arise from any errors or omissions or any opinion or advice given. It should be pointed out that formal positions can only be provided through ICC opinions.

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